

02 Jun 2026 02:35:59 ET | 26 pages

Japan Equity Strategy Market Explorer

Indexes to top out soon but we see the Nikkei breaking above 70,000 by year-end

CITI'S TAKE

Japanese equities have performed solidly over the past month, despite short-term corrections. Supporting factors have included: 1) hopes for a US-Iran ceasefire agreement and a peak in crude oil prices, 2) the continuation of the global AI and semiconductor boom, and 3) initial company guidance shown in earnings announcements remaining at normal levels of conservatism. Given that not only the Nikkei 225, driven by the tech boom, but also TOPIX recently hit YTD highs, and that earnings revision deterioration is expected in the immediate future, Japanese equities may peak for a while in the short term. However, we conclude that upside potential toward year-end remains significant and that there is no need to change our bullish fundamental view on Japanese equities.

FY26 company plans demonstrate earnings resilience — Japanese companies' FY26 earnings plans as revealed in full-year results suggest firms are anticipating +4.2% YoY revenue growth and +7.6% NP growth (TOPIX basis). We view this as strong guidance given uncertainties around Middle East conditions and widespread cost increases. While profit plan misses may lead to deterioration in earnings forecast revisions in the short term, creating a headwind for stock prices, any deterioration in forecast revisions is likely to be modest given that company plans show normal levels of conservatism. Meanwhile, if earnings beats in high-tech sectors/stocks and margin improvements from pricing pass-throughs support overall earnings, actual corporate earnings are likely to exceed company plans and consensus estimates, with earnings revisions turning upward again.

Japanese equity valuations still have room to rise — We believe margin improvements in an inflationary environment will push up Japanese equity valuations via higher RoE. While TOPIX's 12-month forward PER currently stands at 16.8x, near the upper end of its range over the past decade-plus, we see room for further PER expansion as the average RoE sets its sights on the 11%-12% range. Additionally, 1) globally accommodative financial conditions are keeping global liquidity ample, 2) the Japanese equity market is transforming into an investable market for investors as companies with low RoE that are below the cost of capital fall in number, and 3) Japanese equities still appear relatively undervalued based on yield spreads, which should encourage fund flows from overseas into Japanese equities and support valuations. Based on the above, we set our TOPIX target at 4,500 by applying a PER of 17.5x to FY27 forecast EPS (¥258.4).

Ryota Sakagami^{AC}

+81-3-6776-4653

ryota.sakagami@citi.com

Keishi Ueda

+81-3-6776-5110

keishi.ueda@citi.com

<Sector Analyst>

Arifumi Yoshida

Yuta Nishiyama

Takayuki Naito

Takero Fujiwara

Masahiro Shibano

Hiroki Watanabe

Tokiya Baba

Moriya Koketsu

Graeme McDonald

Takahiro Inoue

Hidemaru Yamaguchi

Masashi Miki, CFA

Keiichi Yoneshima

*See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations.

"Bad rate rises" unlikely to occur in Japan — From mid to late May, stocks with high valuations, centered on tech, sold off as Japanese long-term rates rose significantly, leading to a short-term correction in Japanese equities overall. However, these moves ended quickly and did not lead to a sustained correction in Japanese equities. We believe "bad rate rises" are unlikely to occur in the Japanese equity market as 1) value stock weightings are high, 2) the economy originally had deflationary tendencies, and 3) the BoJ has an easing bias. However, real rates have been gradually rising recently. If concerns about fiscal deterioration strengthen further and long-term rates rise led by real rates, approaching or exceeding potential growth rates, this could turn into a "bad rate rise."

Continuation of a momentum market is our base case — Under conditions where crude oil prices remain firm and inflationary pressures persist to some degree, we expect mild stagflation, with relatively high inflation coexisting with economic stagnation, to continue. In this environment, our base case is that stocks with independent growth factors not dependent on macroeconomic cycles ("theme" stocks, restructuring stocks, or inflation beneficiaries) will continue to outperform. While buying is currently concentrated in tech among momentum names, if uncertainties around Middle East conditions fall away going forward, buying is likely to spread to lagging momentum stocks (construction, real estate, financials, defense-related, energy). Additionally, while not a momentum sector, automobiles, which have continued to underperform due to bottleneck concerns, appear to have real room for short-term rebounds.

Japanese stocks: firm despite adjustments

Over the last month, Japanese stocks have been resilient, maintaining a firm trend despite some market adjustments. This stability has been supported by several key factors: 1) anticipation of a ceasefire in the Middle East, coupled with a peak in crude oil prices; 2) the ongoing global boom in AI and semiconductors continues to support strong momentum; and 3) the market has taken the generally conservative initial FY3/27 guidance issued by firms alongside full-year FY3/26 results as a positive. Both the Nikkei, heavily influenced by the tech sector, and the broader TOPIX index have recently hit new YTD highs. While a near-term slowdown is possible due to expected guidance cuts, we think the overall potential for growth toward the end of the year remains strong. We see no reason to alter our bullish long-term outlook on Japanese stocks.

FY3/27 company plans demonstrate corporate earnings resilience

The FY3/27 earnings plans presented by Japanese companies at full-year results collectively aim for revenue growth of +4.2% YoY and NP growth of +7.6% on a TOPIX basis. We view these plans as strong given the headwinds, including Middle East uncertainties and widespread cost increases (Figure 1). We interpret the following as demonstrating the resilience of Japanese corporate earnings overall: 1) downside in company estimates versus prior consensus remained at historical average levels despite a highly uncertain macro environment (Figure 2), 2) impressive earnings growth at AI and semiconductor-related stocks, where global strength continues, are pushing up overall earnings performance (Figures 3, 4), and 3) many companies unveiled sales plans that were ahead of prior consensus, confirming their stance on forging ahead with price pass-throughs (Figures 1, 5).

Figure 1. FY3/27 corporate guidance vs actual FY3/26 results and prior consensus

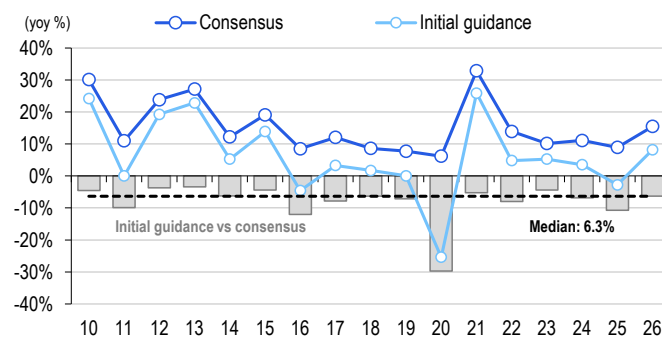
	Corporate guidance vs actual result				Corporate guidance vs consensus			
	Revenue	OP	RP	Net Income	Revenue	OP	RP	Net Income
TOPIX	4.2%	8.2%	3.3%	7.6%	0.1%	-6.3%	-7.2%	-4.9%
Foods	4.3%	1.9%	-1.9%	-1.2%	1.1%	-4.0%	-4.8%	-4.3%
Energy Resources	8.4%	15.7%	13.6%	6.4%	-6.9%	-11.2%	-10.6%	-20.3%
Construction & Materials	6.4%	-2.1%	-7.3%	-4.4%	1.5%	-5.2%	-7.4%	-6.0%
Raw Material & Chemicals	5.4%	28.3%	16.6%	25.8%	1.1%	-1.8%	-4.8%	-2.7%
Pharmaceutical	6.2%	13.2%	6.0%	-0.1%	-0.3%	-12.2%	-17.6%	-15.1%
Auto & Transport Equipment	4.1%	8.5%	-0.9%	8.3%	0.8%	-18.7%	-16.3%	-16.3%
Steel & Nonferrous Metals	8.3%	2.0%	3.9%	10.6%	1.6%	-5.8%	-6.7%	-13.5%
Machinery	5.1%	8.8%	4.4%	6.7%	-0.2%	-3.9%	-5.2%	-4.3%
Electric & Precision	2.5%	21.4%	16.3%	56.2%	-0.7%	-1.6%	-3.8%	-2.2%
IT & Services / Others	4.2%	7.6%	0.7%	1.3%	-0.7%	-2.9%	-6.7%	-6.5%
Electric Power & Gas	7.0%	-24.0%	-29.6%	-23.1%	4.6%	-14.0%	-13.8%	-1.8%
Transportation & Logistics	5.4%	-5.4%	-9.7%	-12.5%	2.4%	-7.6%	-10.0%	-5.8%
Wholesale Trade	4.2%	5.5%	7.4%	10.4%	1.7%	-1.6%	-0.7%	3.4%
Retail Trade	6.0%	10.1%	7.7%	3.9%	0.5%	-0.7%	-3.1%	-1.9%
Banks	-2.7%	-	17.4%	10.6%	2.7%	-	5.9%	4.0%
Financials (ex. Banks)	-13.4%	-8.3%	-3.3%	-14.3%	-11.2%	-11.6%	-9.7%	-11.3%
Real Estate	8.1%	7.6%	4.3%	5.1%	2.8%	0.7%	-2.1%	-1.3%
TOPIX	4.2%	8.2%	3.3%	7.6%	0.1%	-6.3%	-7.2%	-4.9%
Ex. Financials	4.9%	8.3%	2.8%	9.6%	0.5%	-6.3%	-7.8%	-6.0%
EX. Financials, Electric power & gas	4.9%	9.5%	4.0%	10.7%	0.4%	-6.1%	-7.7%	-6.1%
Manufacturing	4.6%	14.4%	6.9%	19.5%	0.1%	-8.1%	-9.4%	-9.2%
Non-manufacturing	3.7%	1.0%	-0.4%	0.7%	0.1%	-3.9%	-4.6%	-1.8%
Ex. Electric power & gas	3.5%	3.0%	1.7%	1.8%	-0.2%	-3.2%	-4.1%	-1.8%
Foreign demand	4.3%	12.5%	6.1%	16.8%	0.5%	-7.6%	-8.1%	-6.0%
Domestic demand	4.1%	3.5%	0.1%	0.4%	-0.4%	-4.7%	-6.1%	-4.0%

© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Note: Universe is TOPIX companies with February or March FY year-ends.

Source: Citi Research, Nikkei QUICK

Figure 2. Corporate guidance vs results / prior consensus (OP basis)

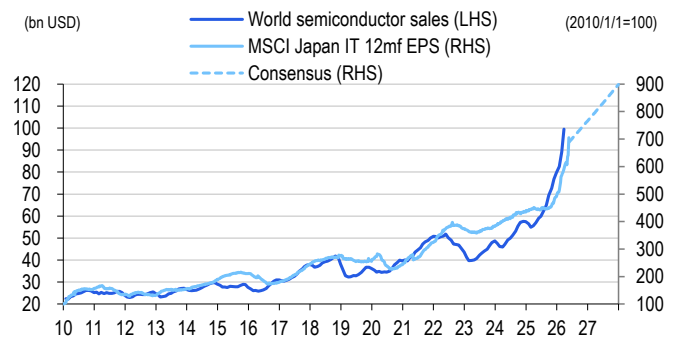


© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Note: Universe is TOPIX companies with February or March FY year-ends.

Source: Citi Research, Nikkei QUICK

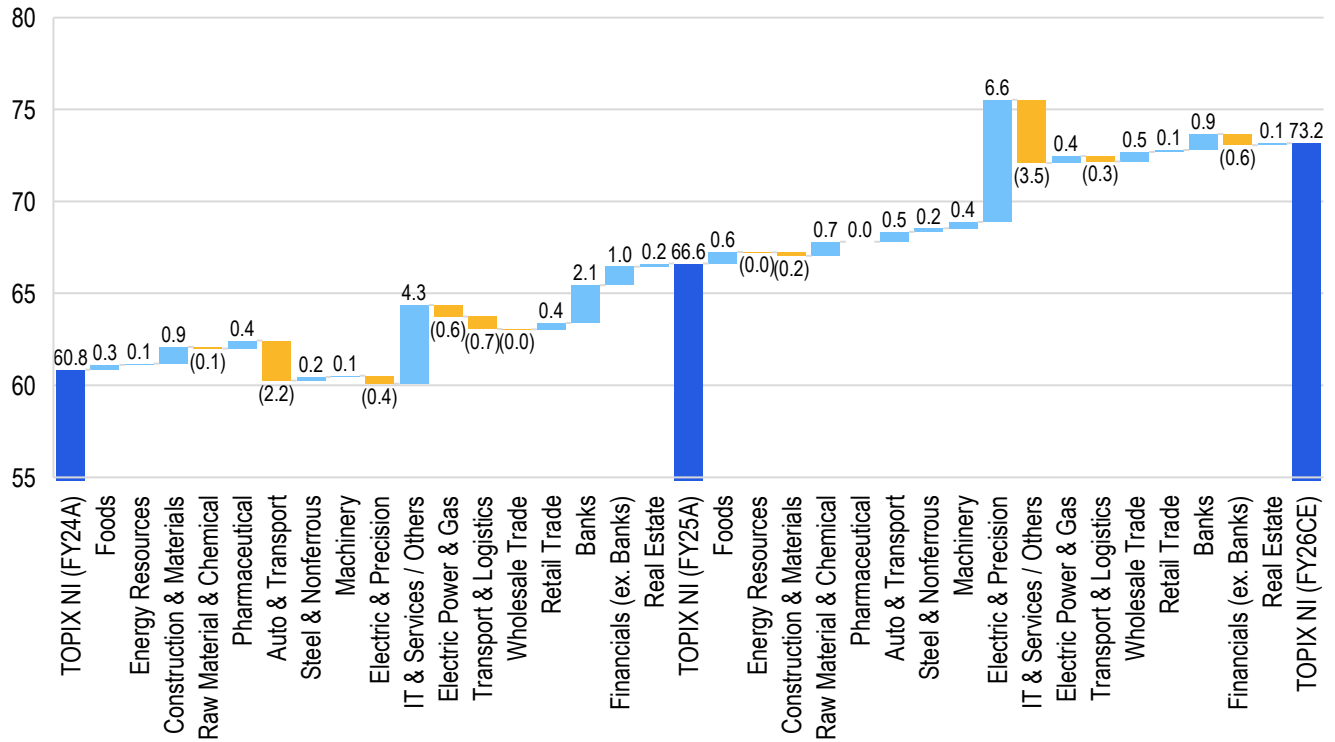
Figure 3. MSCI Japan IT 12mf EPS and world semiconductor sales



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, DataStream, Bloomberg

Figure 4. FY3/26 and FY3/27 breakdown of net income growth by sector (¥trn)



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Note: Universe is TOPIX constituents. FY3/27 numbers are based on corporate guidance. We use consensus estimates for companies that do not disclose guidance.

Source: Citi Research, Nikkei QUICK

Figure 5. FY3/27 corporate guidance: beats and misses vs prior consensus

	Guidance		Corporate guidance vs consensus										Dividend guidance		
	Disc.	Undisc.	Revenue		OP		RP		Net Income		Dividend		Hike	Flat	Cut
TOPIX	97%	3%	62%	38%	35%	65%	30%	70%	40%	60%	47%	53%	55%	28%	17%
Foods	96%	4%	54%	46%	44%	56%	32%	68%	43%	57%	34%	66%	43%	37%	20%
Energy Resources	100%	0%	0%	100%	25%	75%	25%	75%	20%	80%	20%	80%	20%	40%	40%
Construction & Materials	100%	0%	65%	35%	43%	57%	37%	63%	45%	55%	57%	43%	62%	22%	17%
Raw Material & Chemicals	94%	6%	56%	44%	29%	71%	24%	76%	35%	65%	51%	49%	53%	32%	15%
Pharmaceutical	100%	0%	60%	40%	35%	65%	29%	71%	40%	60%	47%	53%	63%	32%	5%
Auto & Transport Equipment	100%	0%	54%	46%	26%	74%	13%	87%	32%	68%	37%	63%	54%	29%	17%
Steel & Nonferrous Metals	98%	3%	67%	33%	33%	67%	41%	59%	33%	67%	42%	58%	29%	17%	54%
Machinery	98%	2%	61%	39%	31%	69%	29%	71%	41%	59%	48%	52%	59%	28%	14%
Electric & Precision	98%	2%	59%	41%	42%	58%	38%	62%	45%	55%	52%	48%	53%	31%	15%
IT & Services / Others	98%	2%	62%	38%	32%	68%	28%	72%	34%	66%	44%	56%	61%	25%	14%
Electric Power & Gas	95%	5%	69%	31%	38%	62%	33%	67%	62%	38%	29%	71%	53%	41%	6%
Transportation & Logistics	100%	0%	67%	33%	27%	73%	15%	85%	43%	57%	39%	61%	51%	34%	15%
Wholesale Trade	100%	0%	65%	35%	30%	70%	25%	75%	34%	66%	44%	56%	56%	24%	20%
Retail Trade	96%	4%	69%	31%	41%	59%	23%	77%	37%	63%	40%	60%	48%	34%	18%
Banks	100%	0%	67%	33%	-	-	79%	21%	62%	38%	73%	27%	70%	13%	17%
Financials (ex. Banks)	84%	16%	53%	47%	50%	50%	27%	73%	33%	67%	48%	52%	56%	37%	7%
Real Estate	100%	0%	80%	20%	38%	62%	24%	76%	38%	62%	43%	57%	62%	14%	24%
TOPIX	97%	3%	62%	38%	35%	65%	30%	70%	40%	60%	47%	53%	55%	28%	17%
Ex. Financials	98%	2%	62%	38%	35%	65%	29%	71%	39%	61%	45%	55%	55%	28%	17%
EX. Financials, Electric power & gas	98%	2%	62%	38%	35%	65%	28%	72%	39%	61%	46%	54%	55%	28%	17%
Manufacturing	97%	3%	59%	41%	35%	65%	30%	70%	40%	60%	48%	52%	54%	29%	17%
Non-manufacturing	97%	3%	64%	36%	36%	64%	30%	70%	40%	60%	45%	55%	56%	27%	16%
Ex. Electric power & gas	97%	3%	64%	36%	36%	64%	30%	70%	39%	61%	46%	54%	57%	27%	17%
Foreign demand	98%	2%	59%	41%	35%	65%	30%	70%	40%	60%	48%	52%	54%	27%	19%
Domestic demand	97%	3%	64%	36%	35%	65%	30%	70%	40%	60%	45%	55%	56%	29%	15%

© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

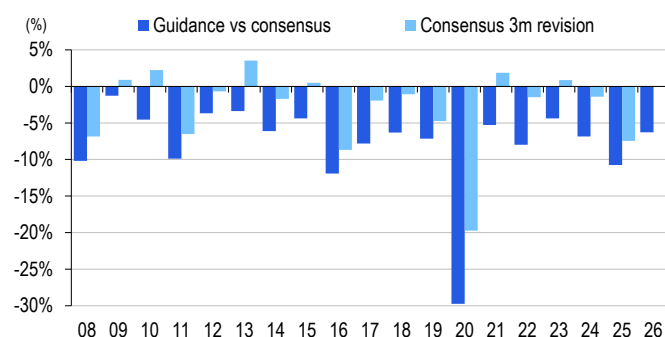
Note: Universe is TOPIX companies with February or March FY year -ends.

Source: Citi Research, Nikkei QUICK

Near-term risk of revision deterioration exists but is not enough to change the Japanese equity trend

Downside to profit plans may lead to deterioration in earnings forecast revisions in the near term, potentially weighing on stock prices (Figures 6, 7). However, given that company plans are about as conservative as they are in a typical year, deterioration in earnings forecast revisions will likely remain modest. Meanwhile, if earnings beats in high-tech sectors/stocks (Figure 8) and margin improvements through progress with price pass-throughs support overall earnings, actual corporate results will likely exceed plans and consensus, with earnings forecast revisions turning upward again (Figure 9). If deterioration in earnings forecast revisions remains modest and short-lived, it should not get in the way of the Japanese equity uptrend.

Figure 6. Initial guidance vs prior consensus and consensus estimates three months after earnings

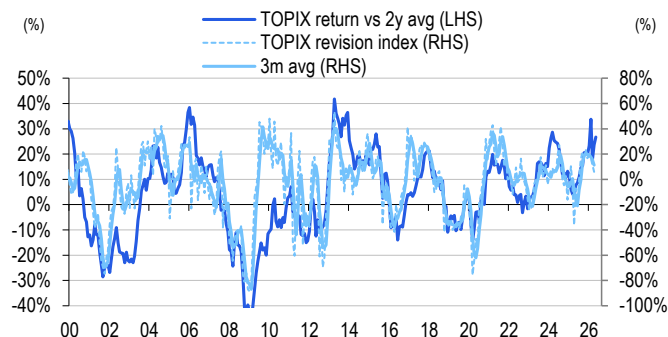


© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Note: Universe is TOPIX companies with February or March FY year-ends.

Source: Citi Research, Nikkei QUICK

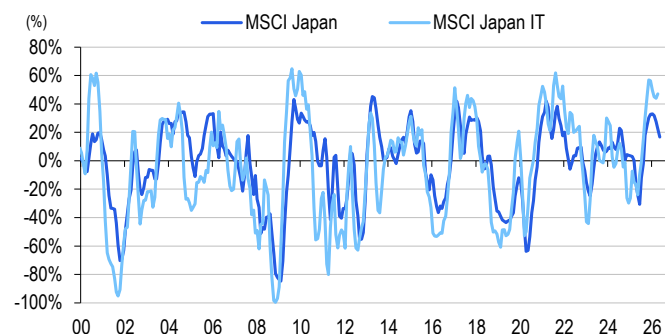
Figure 7. TOPIX revision index and TOPIX returns vs 2y average



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, DataStream, Bloomberg

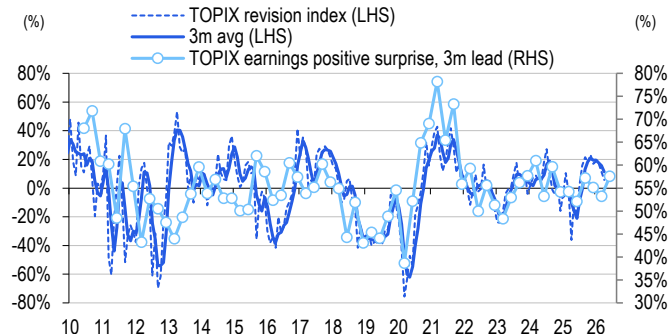
Figure 8. MSCI Japan and MSCI Japan IT earnings revision indexes



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, DataStream

Figure 9. TOPIX earnings revision index and the positive earnings surprise ratio (OP basis)



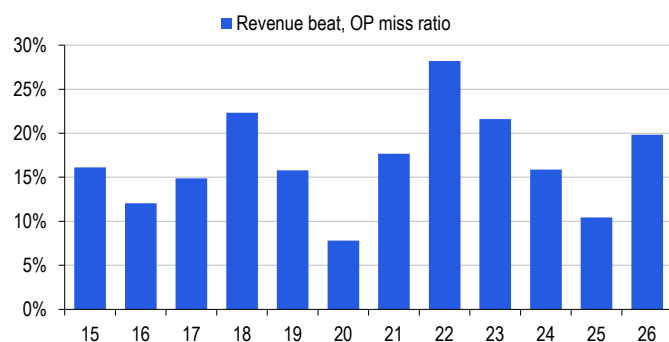
© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, DataStream, Bloomberg

Japanese firms strengthening their ability to smoothly implement price pass-throughs

The company plans presented at full-year results saw a relatively high frequency of sales plan beats and profit plan misses, similar to FY3/23 and FY3/24, when firms were alert to cost increases (Figure 10). We interpret this as firms demonstration of their determination to implement some price pass-throughs while being cautious about whether they can fully pass on higher costs. However, Japanese firms have recently strengthened their ability to more smoothly implement price increases in response to cost increases than in the past, with corporate and consumer price sensitivity to import prices rising (Figure 11). In FY3/23-FY3/24, we saw a pattern of cost increases whereby price hikes led to margin improvement (Figure 12), suggesting guidance that assume implementation of price increases but deterioration in margins is probably too conservative. In 2022, significant import price increases led to deterioration in the margin outlook through mid-year followed by improvement. Given that corporate price pass-throughs have become easier than before and future import price increases are not expected to match 2022 levels (Figure 13), we believe margin deterioration will end more quickly this time. Based on the above, we anticipate double-digit profit growth for Japanese companies in FY26 and FY27 (Figure 14).

Figure 10. Ratio of companies with revenue guidance beats/OP guidance misses vs consensus

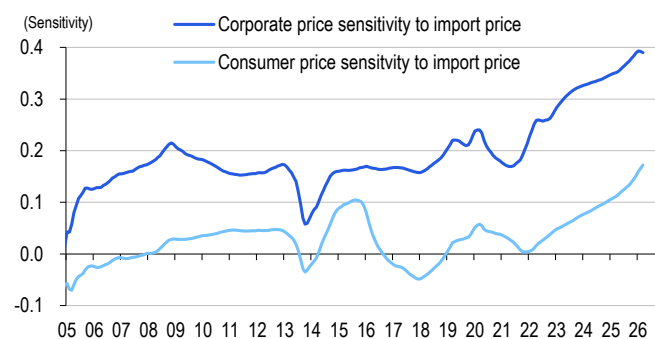


© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Note: Universe is TOPIX companies with February or March year-ends. Beat is defined as when revenue guidance vs prior consensus is over 0%, while a miss is seen if OP guidance vs prior consensus is below -5%.

Source: Citi Research, Nikkei QUICK

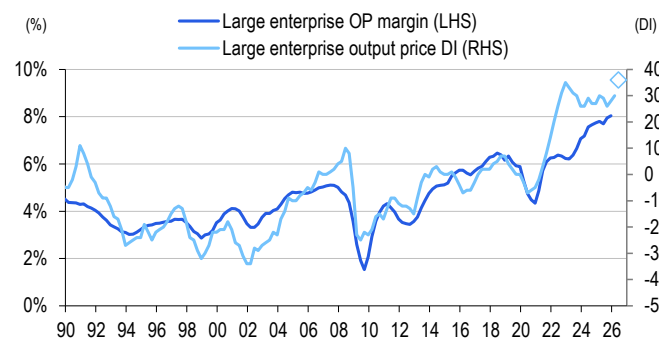
Figure 11. Sensitivity of corporate and consumer prices to import prices



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, Bloomberg

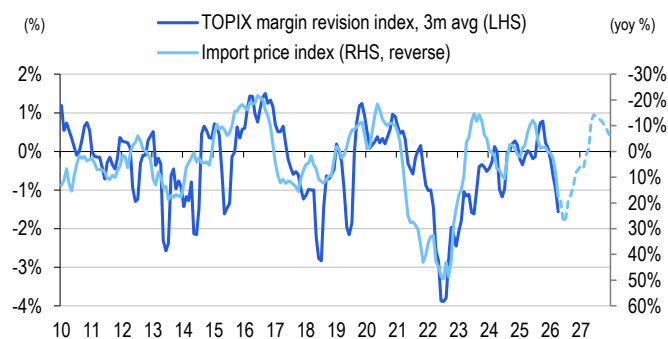
Figure 12. Large enterprises: OPM and output prices



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, Bloomberg, MoF

Figure 13. TOPIX margin revision index and import prices



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, DataStream, Bloomberg

Figure 14. Citi TOPIX EPS forecast

	FY22A	FY23A	FY24A	FY25A	FY26E	FY27E
	23/03	24/03	25/03	26/03	27/03	28/03
<i>Citi Base case scenario</i>						
EPS (JPY)	144.8	170.5	188.9	209.4	230.6	258.4
yoy (%)	3.6%	17.8%	10.8%	10.8%	10.1%	12.1%
ROE (%)	8.8%	9.2%	9.4%	9.8%	10.0%	11.1%
<i>Bottom-up consensus</i>						
EPS (JPY)	144.8	170.5	188.9	209.4	229.9	256.7
yoy (%)	3.6%	17.8%	10.8%	10.8%	10.8%	11.7%
ROE (%)	8.8%	9.2%	9.4%	9.8%	10.1%	10.8%
<i>Persistently high commodity price (No-recession)</i>						
EPS (JPY)	144.8	170.5	188.9	209.4	216.4	232.2
yoy (%)	3.6%	17.8%	10.8%	10.8%	3.4%	7.3%
ROE (%)	8.8%	9.2%	9.4%	9.8%	9.5%	10.5%
<i>Persistently high commodity price (Global recession)</i>						
EPS (JPY)	144.8	170.5	188.9	209.4	186.6	198.2
yoy (%)	3.6%	17.8%	10.8%	10.8%	-10.9%	6.2%
ROE (%)	8.8%	9.2%	9.4%	9.8%	8.5%	8.7%
<i>Core assumptions</i>						
<i>Fundamental assumptions</i>						
Dividend	36.1%	34.3%	36.6%	37.3%	38.0%	38.6%
Buyback	20.3%	17.2%	26.7%	27.0%	27.2%	27.5%
Total Payout	56.4%	51.5%	63.3%	64.3%	65.2%	66.1%
<i>Macro assumptions (Base case)</i>						
Japan Real GDP				1.2%	0.7%	1.0%
Japan CPI				3.2%	2.0%	2.1%
Global Real GDP				2.9%	2.7%	2.8%
Global CPI				2.7%	3.3%	2.6%

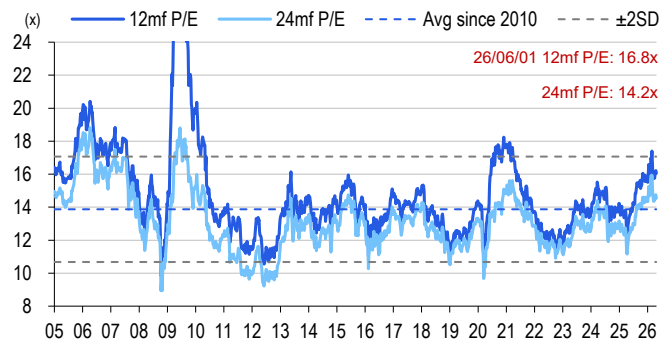
© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, Nikkei QUICK, DataStream, Bloomberg

Japanese stocks still have upside valuation potential

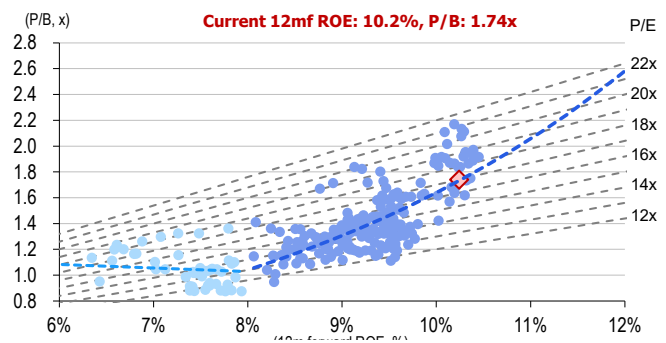
Improvement in margins in an inflationary environment could push up Japanese stock valuations by way of increased RoE. TOPIX trades on a 12-month-forward PER of 16.8x, close to the top of the 10-year historical range (Figure 15), and we see further upside potential for PER (Figure 16) given the emerging possibility of the average RoE passing the 11% mark. We also think factors like 1) plentiful global liquidity stemming from the maintenance of monetary accommodation across the globe (Figure 17), 2) the Japanese market being increasingly seen as investable as the number of firms with low RoE (below the cost of capital) decreases (Figure 18), and 3) Japanese stocks continuing to look relatively attractively valued on metrics like yield spreads (Figure 19) will encourage inflows of overseas capital into Japanese stocks, which would support valuations (Figure 20). In light of these factors, we raise our projected high for TOPIX to 4,500, based on an FY27 EPS forecast of ¥258.4 and a PER of 17.5x.

Figure 15. TOPIX 12m and 24m forward PERs



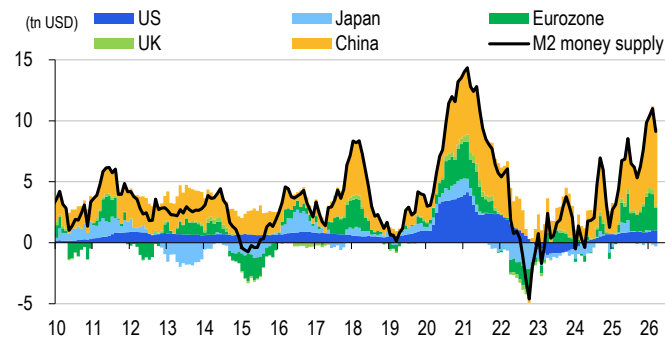
© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.
Source: Citi Research, DataStream, Bloomberg

Figure 16. TOPIX PBR and RoE distribution



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.
Source: Citi Research, DataStream, Bloomberg

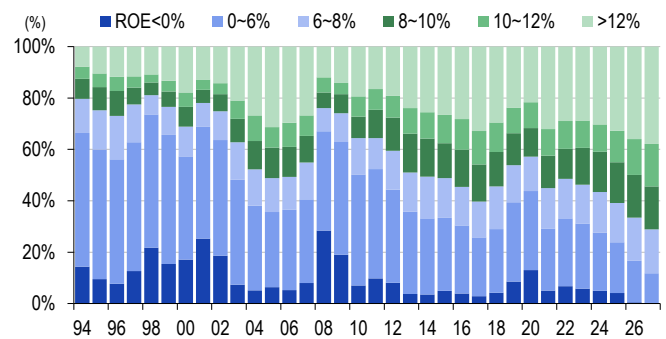
Figure 17. Trend in global money supply



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, DataStream, Bloomberg

Figure 18. TOPIX constituents and distribution based on RoE (FY)

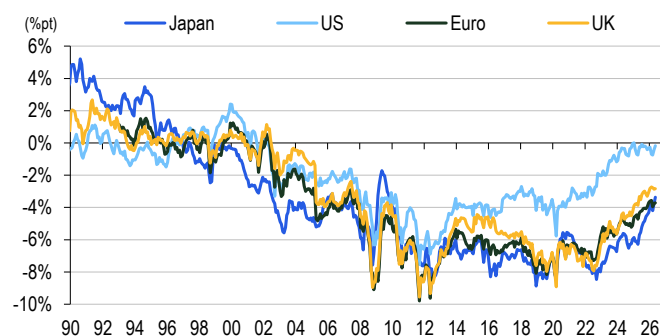


© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Note: FY3/26 numbers are based on actual results + consensus estimates; numbers for FY3/27 on are consensus estimates.

Source: Citi Research, Nikkei QUICK

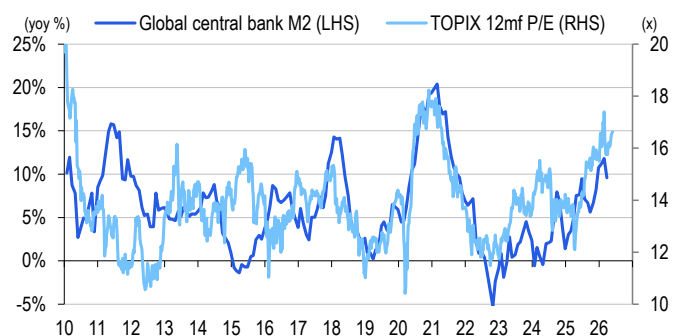
Figure 19. Yield spread in major markets



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, DataStream, Bloomberg

Figure 20. Global money supply and 12mf PER



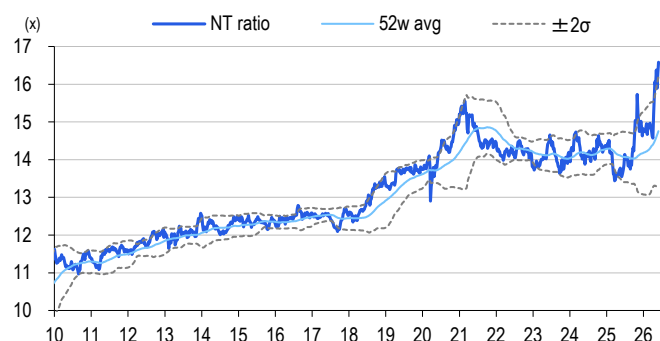
© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, DataStream, Bloomberg

We expect the N/T ratio to remain high

The N/T ratio (Nikkei 225 to TOPIX ratio) is marking record highs due to substantial gains by AI/semiconductor-related sectors and stocks (Figures 21, 22). We saw the same kind of tech-driven rise in the N/T ratio in September–October 2025. On that occasion, the N/T ratio declined after TOPIX caught up when a Nikkei 225 correction resulted from a shift to high-tech underperformance from November. However, high-tech sectors now look less overheated than last November, and we do not see a significant correction risk (Figures 23, 24). We therefore conclude that the N/T ratio will remain high and estimate a high of 72,000 for the Nikkei 225 (equal to an N/T ratio of 16x).

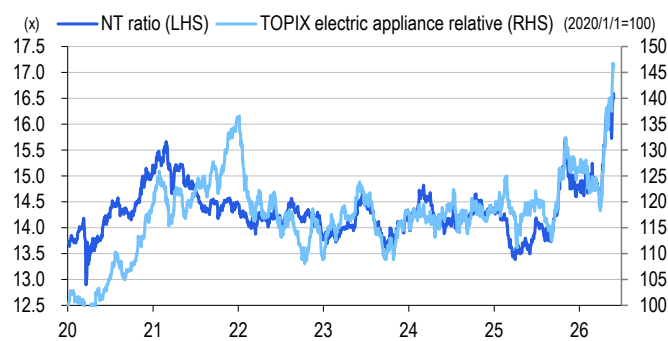
Figure 21. N/T ratio



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, Bloomberg

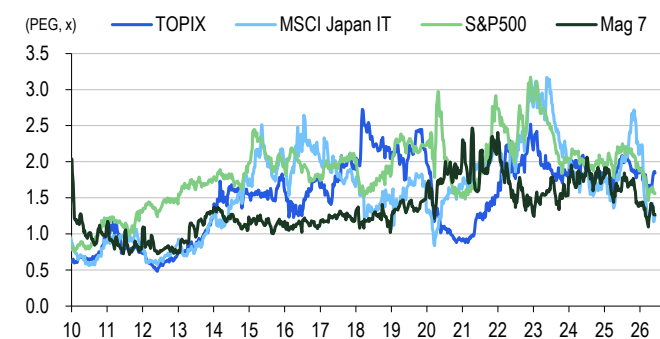
Figure 22. N/T ratio and electric appliance TOPIX relative share price



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, Bloomberg

Figure 23. Trend in PEG ratio for major markets and indexes



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, DataStream, Bloomberg

Figure 24. PEG ratio for major markets and indexes

Data as of 6/1	Current		1y avg		5y avg	
	12mf P/E	PEG	12mf P/E	PEG	12mf P/E	PEG
TOPIX	16.8	1.9	15.5	1.9	14.0	1.8
MSCI Japan	17.3	1.9	16.1	2.1	14.5	2.1
MSCI Japan IT	24.7	1.3	22.7	2.0	21.0	2.1
Software & Services	18.7	4.1	22.6	4.5	20.8	2.8
Tech Hardware	32.2	3.1	20.7	1.9	20.7	2.2
Semiconductor	22.2	0.8	24.5	1.9	21.2	1.9
ex. KIOXIA (285A)	31.3	1.1	26.9	1.2	20.8	1.4
S&P500	21.3	1.6	21.8	1.9	20.0	2.2
Magnificent 7	25.9	1.3	27.2	1.5	27.5	1.7
NASDAQ	26.6	1.4	27.2	1.7	27.0	1.8
SOX	26.6	0.9	24.6	1.4	22.0	2.3

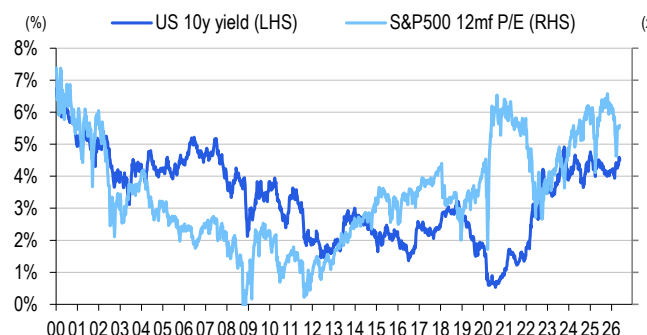
© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, DataStream, Bloomberg

"Bad rate rises" are less likely to materialize in Japan

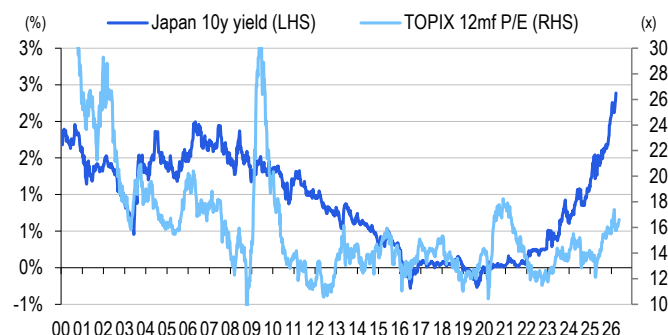
From mid-to-late May, a significant rise in long-term interest rates prompted a sell-off in high-valuation stocks, especially in the technology sector, causing a brief market-wide adjustment. The adjustment proved temporary, however, and no prolonged market correction ensued. Given higher risk-free rates, long-term rate rises are generally considered valuation compressors for equities. Figure 25 maps out the relationship of long-term rate rises → PER declines, long-term rate declines or sideways moves → PER rises in the case of US equities. Figure 26, meanwhile, shows the strong tendency not just recently but also over the long term in Japanese equities for long-term rates and PER to correlate positively. We see three reasons for the seemingly counterintuitive relationship between Japanese equities and long-term rates: 1) Japanese equities have a lower weighting for growth (high valuation) stocks and a higher weighting for value stocks relative to US equities (Figure 27); 2) while US long-term rate movements are driven primarily by changes in real rates (nominal rates minus inflationary expectations, with longer-term inflationary expectations stable), Japanese long-term rates tend to be strongly influenced by changes in inflationary expectations (Figures 28-31); 3) in Japan there is a bias toward monetary policy easing over the long term, so even if real rates rise somewhat they tend to remain at accommodative levels below potential growth (Figures 32, 33).

Figure 25. US 10y yield and S&P500 12mf P/E



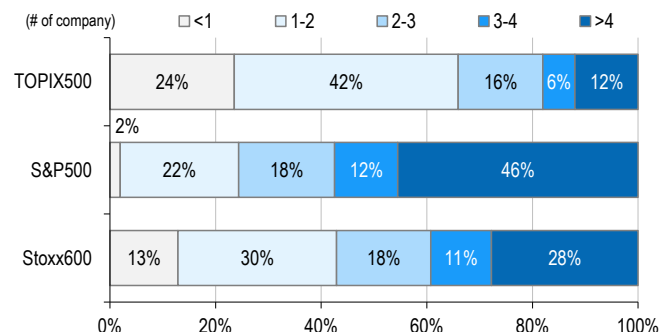
© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.
Source: Citi Research, DataStream, Bloomberg

Figure 26. Japan 10y yield and TOPIX 12mf P/E

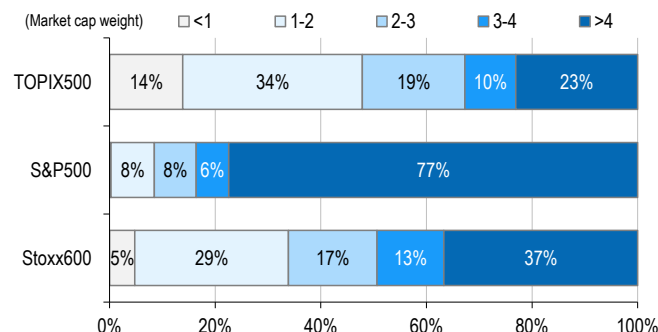


© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.
Source: Citi Research, DataStream, Bloomberg

Figure 27. Distribution of PBRs in Japan/US/Europe major equity indexes (left: number of companies; right: market cap weight)

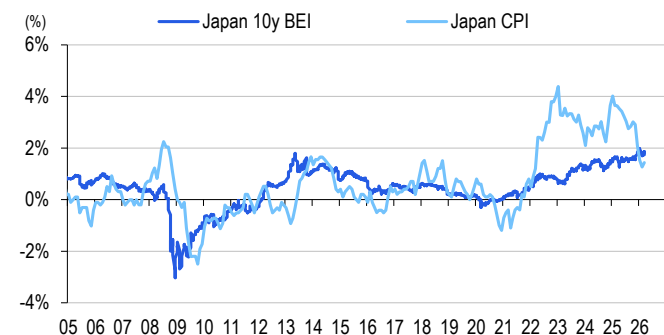


© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.
Source: Citi Research, Bloomberg



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

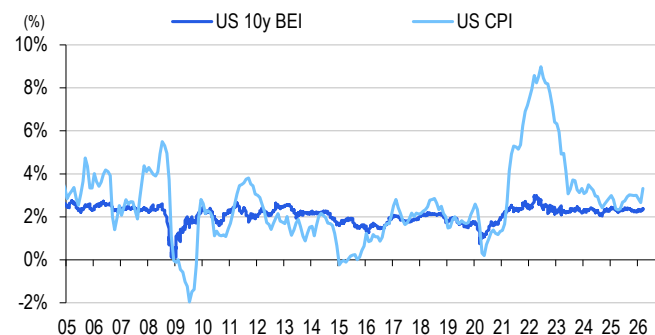
Figure 28. Japan 10y BEI and CPI



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, Bloomberg

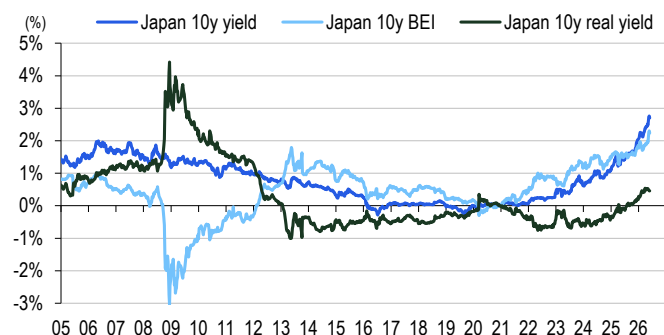
Figure 29. US 10y BEI and CPI



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, Bloomberg

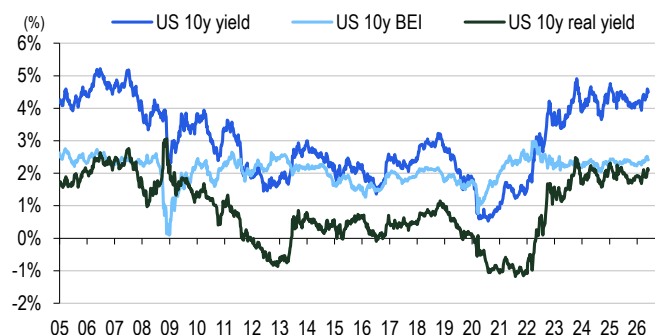
Figure 30. Japan 10y yield, BEI and real yield



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, Bloomberg

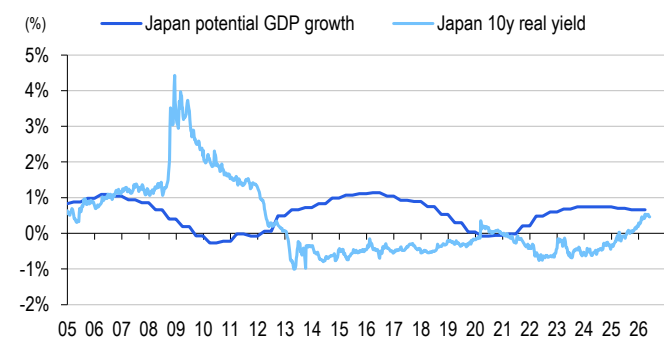
Figure 31. US 10y yield, BEI and real yield



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, Bloomberg

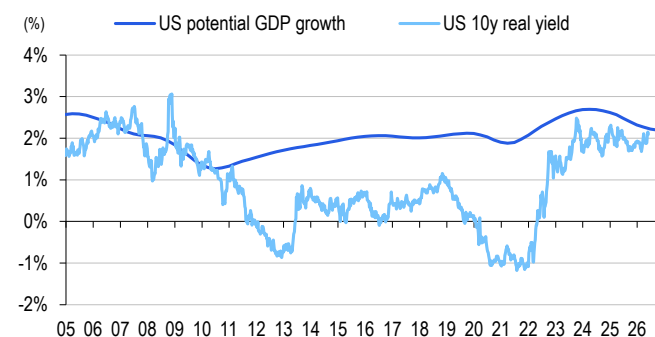
Figure 32. Japan potential growth rate and real yield



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, Bloomberg

Figure 33. US potential growth rate and real yield



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, Bloomberg

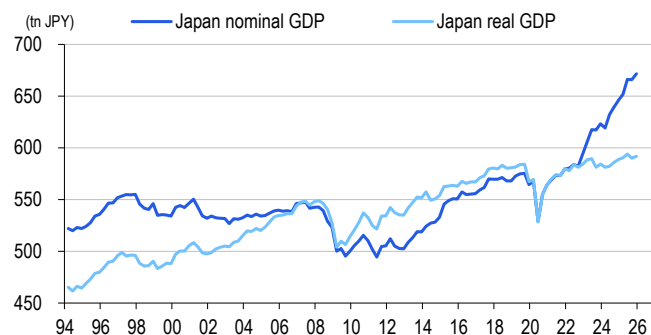
Based on the above summary, we believe "bad rate rises" are unlikely in Japanese equities as 1) the value stock weighting is high, 2) the economy has inherent deflationary tendencies, and 3) the BoJ has a bias toward easing. Nevertheless, real rates in Japan have been gradually rising recently, reaching around 25bps on a 10y basis (Figure 10). If fiscal deterioration concerns intensify further and long-term rates rise, led by real rates, approaching or exceeding levels suggested by potential growth, this could turn into a "bad rate rise". A more concerning scenario would

involve the 10y Japanese government bond yield rising above 3% due to an increase in real interest rates. However, the government is currently taking a cautious fiscal approach, for example, by limiting the supplementary budget to the amount available in contingency funds. We believe this suggests the immediate materialization of such risk is low.

Continuation of momentum-driven market is our base scenario

With crude oil prices slow to retreat and inflationary pressure still in play to some extent, we think conditions are conducive to ongoing mild stagflation, characterized by relatively high inflation coupled with a sluggish economy (Figures 34, 35). The general consensus in such conditions is that stocks benefiting from growth factors independent of the macroeconomic cycle (like theme stocks, restructuring plays, or inflation beneficiaries) will continue to perform well. At present, a focus on high tech is apparent even among momentum stocks, but we think investor interest could spread to other, laggard momentum stocks (construction, real estate, finance, defense, energy) if the uncertainty surrounding the situation in the Middle East eases. We also see real potential for a short-term rally in autos, which, although not a momentum sector, has been consistently underperforming due to concerns about bottlenecks. In Figure 36 below we screen for names with strong longer-term momentum where current share prices remain below March unadjusted levels.

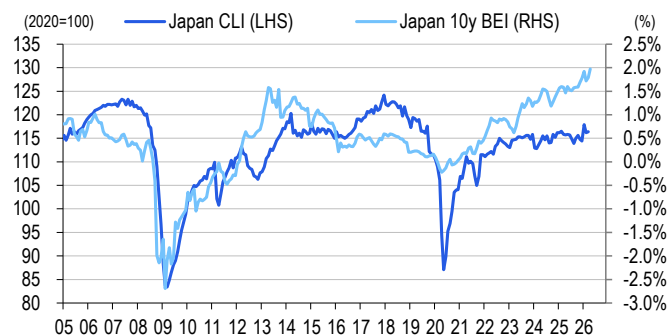
Figure 34. Nominal and real GDP



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, Bloomberg

Figure 35. Japan composite leading index (CLI) and BEI



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, Bloomberg

Figure 36. Screening based on 3y momentum and current vs February-end return

2026-05-27												2026-05-27															
Code	Company name	Sectbr	FY	Market cap (bn JPY)	return vs TOPIX			FY26 Consensus				Current vs Feb-end return	Code	Company name	Sectbr	FY	Market cap (bn JPY)	return vs TOPIX			FY26 Consensus				Current vs Feb-end return		
					1m	3m	3y	RP yoy	3m rev	ROE	P/E							RP yoy	3m rev	ROE	P/E						
1515	NITTETSU MINING	Mining	27/03	209	-2.5	-40.2	147.9	-	-	9.4	-	1.3	-45%	6269	MODEC	Machinery	26/12	753	-22.2	-21.3	603.1	7.7	-0.8	27.3	12.5	3.1	-22%
1801	TAISEI	Construction	27/03	2,428	-17.0	-29.1	125.7	-1.9	6.8	18.7	15.2	2.6	-30%	6330	TOYO ENGINEERING	Construction	27/03	129	-14.3	-41.7	201.7	-	0.0	-28.9	28.6	3.3	-42%
1802	OBAYASHI	Construction	27/03	2,342	-12.8	-24.3	100.9	-2.5	9.1	14.4	14.2	1.8	-24%	6332	TSUKISHIMA HOLDINGS	Machinery	27/03	109	-18.7	-21.8	49.5	13.8	-0.8	17.7	13.1	1.1	-22%
1803	SHIMIZU	Construction	27/03	1,971	-13.5	-23.2	125.3	19.7	22.0	13.8	13.8	1.9	-24%	6368	ORGANO	Machinery	27/03	770	-5.5	-6.1	231.1	8.1	-0.4	21.5	24.9	5.3	-8%
1812	KAJIMA	Construction	27/03	3,151	-8.3	-18.9	98.0	-7.9	4.9	13.3	17.6	2.0	-19%	6454	MAX	Machinery	27/03	300	-10.0	-6.9	96.1	9.1	1.3	12.6	20.1	2.5	-7%
1871	PS CONSTRUCTION	Construction	27/03	102	-21.8	-35.4	129.8	-	-	15.1	-	1.5	-37%	6590	SHIBAURA MECHATRONICS	Elec. App.	27/03	354	-5.3	-15.5	212.3	32.2	0.0	21.7	24.2	6.0	-10%
1885	TOA	Construction	27/03	225	-20.0	-43.4	120.1	-2.8	0.0	17.4	13.8	1.7	-45%	6632	JVCKENWOOD	Elec. App.	27/03	176	-10.2	-12.6	50.4	6.9	-4.9	12.5	10.6	1.1	-13%
1893	PENTA-OCEAN CONSTRUCTION	Construction	27/03	531	1.1	-16.0	66.4	-0.4	7.7	18.7	15.1	2.6	-18%	6701	NEC	Elec. App.	27/03	5,611	-15.2	-3.8	137.8	4.1	-0.8	13.0	19.7	2.5	-6%
1934	YURTEC	Construction	27/03	163	-14.4	-26.7	93.1	19.6	2.7	6.8	11.1	1.0	-25%	6814	FURUNO ELECTRIC	Elec. App.	27/02	207	-20.4	-23.4	430.2	5.5	0.0	20.7	14.6	2.3	-24%
1942	KANDENKO	Construction	27/03	1,356	3.3	-6.8	426.5	3.6	-7.4	16.8	21.4	3.4	-6%	6961	ENPLAS	Elec. App.	27/03	123	-30.9	-13.0	40.2	8.0	-12.5	8.9	23.2	1.8	-13%
1944	KINDEN	Construction	27/03	1,451	-3.2	-16.4	197.3	-3.9	-8.1	11.0	21.5	2.2	-15%	7003	MIITSUI E&S	Machinery	27/03	516	-23.1	-39.8	777.0	6.5	0.0	19.3	13.7	2.2	-42%
1950	NIPPON DENSETSU KOGYO	Construction	27/03	281	-12.5	-15.2	55.8	5.6	3.9	8.8	14.8	1.2	-15%	7011	MIITSUBISHI HEAVY INDUSTRIES	Machinery	27/03	13,306	-21.8	-21.7	472.0	21.9	3.6	12.2	32.8	4.3	-24%
1952	SHIN NIPPON AIR TECHNOLOGIES	Construction	27/03	171	-7.5	-19.8	119.5	-	-	16.0	-	1.9	-19%	7012	KAWASAKI HEAVY INDUSTRIES	Trans.Equip.	27/03	2,823	-2.1	-12.4	323.5	7.1	1.3	13.7	25.3	3.2	-15%
1959	KRAFTIA	Construction	27/03	652	-5.0	-12.8	60.4	8.7	0.5	12.2	15.2	1.9	-12%	7013	IHI	Machinery	27/03	3,188	-7.8	-34.0	400.2	23.5	20.8	28.4	19.9	4.8	-37%
1961	SANKI ENGINEERING	Construction	27/03	366	-9.7	-14.7	267.3	8.2	-1.5	20.8	14.9	2.9	-71%	7014	NAMURA SHIPBUILDING	Trans.Equip.	27/03	293	-6.2	-26.3	632.4	-	-	17.9	12.9	2.1	-32%
1969	TAKASAGO THERMAL ENGINEERING	Construction	27/03	630	0.0	-12.3	202.7	-4.0	5.3	19.2	18.0	2.8	-10%	7184	FIRST BANK OF TOYAMA	Banks	27/03	173	-0.8	-4.0	230.8	-	-	8.6	-	0.8	-8%
1975	ASAHI KOGYOSHA	Construction	27/03	111	7.2	-16.3	151.3	-	-	19.9	-	2.1	-16%	7186	YOKOHAMA FINANCIAL GROUP	Banks	27/03	1,889	7.9	-3.9	115.5	16.8	3.0	7.9	15.4	1.3	-5%
1980	DAI-DAN	Construction	27/03	370	-9.4	-29.7	420.5	-2.3	0.0	22.5	15.0	2.7	-29%	7189	NISHI-NIPPON FINANCIAL HOLDING	Banks	27/03	597	-0.3	-9.4	194.0	9.2	-10.5	6.9	13.3	0.9	-11%
1982	HIBIYA ENGINEERING	Construction	27/03	138	1.1	-5.9	81.9	11.6	8.5	11.6	14.8	1.6	-6%	7456	MATSUMIDA SANGYO	Whsle Trade	27/03	184	-6.1	-24.5	127.7	1.9	0.0	15.4	11.0	1.5	-27%
2579	COCA-COLA BOTTLERS JAPAN HOLDI	Foods	26/12	591	0.2	-14.5	43.5	-	5.8	-12.0	25.5	1.5	-15%	7552	HAPPINET	Whsle Trade	27/03	131	-4.0	-14.3	86.9	5.1	-3.5	17.5	12.7	2.0	-15%
3103	UNITIKA	Text&Apparel	27/03	261	-46.9	-24.4	472.0	-	-	52.3	-	2.6	-28%	7721	TOKYO KEIKI	Prec. Inst.	27/03	116	-23.1	-27.1	324.6	5.6	-9.2	9.3	27.0	2.5	-31%
3110	NITTO BOSEKI	Gl&Cer. Prod.	27/03	977	-19.7	-7.0	929.6	39.2	10.2	27.5	44.4	5.4	-10%	7744	NORITSU KOKI	Prec. Inst.	26/12	224	-1.3	-7.0	102.4	20.3	16.3	6.9	12.4	1.0	-9%
3498	KASUMIGASEKI CAPITAL	Real Estate	26/08	142	-14.1	-25.0	119.4	43.8	0.4	32.5	8.5	1.9	-25%	7972	ITOKI	Other Prod.	26/12	143	-20.5	-24.3	149.5	23.2	12.1	17.7	12.2	2.2	-28%
4028	ISHIHARA SANGYO	Chemicals	27/03	119	-8.1	-26.2	47.1	-19.5	3.6	13.7	9.2	0.9	-22%	8002	MARUBENI	Whsle Trade	27/03	8,882	-16.6	-12.6	74.5	10.1	3.8	13.6	14.7	2.0	-13%
4046	OSAKA SODA	Chemicals	27/03	248	-5.9	-22.5	39.6	14.1	-3.2	12.7	15.9	1.8	-21%	8020	KANEMATSU	Whsle Trade	27/03	366	-4.5	-12.7	47.6	11.3	2.5	17.0	10.8	1.7	-13%
4461	DKS	Chemicals	27/03	112	24.5	-14.9	388.6	11.8	21.5	13.6	16.5	2.1	-9%	8022	MIZUNO	Other Prod.	27/03	254	-6.3	-19.9	84.0	6.0	-1.1	11.1	13.6	1.4	-19%
4506	SUMITOMO PHARMA	Pharm.	27/03	694	-26.3	-39.2	40.2	12.5	0.2	46.3	7.4	2.4	-40%	8031	MIITSUI	Whsle Trade	27/03	15,415	-10.7	-8.2	57.9	18.8	10.2	10.2	15.7	1.7	-9%
4617	CHUGOKU MARINE PAINTS	Chemicals	27/03	192	-2.6	-28.8	123.9	7.6	-2.6	12.3	14.7	1.8	-30%	8136	SANRIO	Whsle Trade	26/03	1,092	-14.5	-23.6	43.3	13.7	-0.1	43.9	17.9	7.5	-27%
4626	TAIYO HOLDINGS	Chemicals	27/03	570	-1.1	-7.6	193.9	5.0	4.2	22.0	23.9	4.7	-8%	8337	CHIBA KOGYO BANK	Banks	27/03	145	9.1	-7.5	290.8	-	-	4.7	-	0.8	-28%
5019	IDEMITSU KOSAN	Oil&Coal P.	27/03	1,598	-4.0	-10.5	56.3	36.1	36.2	9.4	7.3	0.8	-12%	8354	FUKUOKA FINANCIAL GROUP	Banks	27/03	1,263	1.8	-4.1	68.8	9.2	1.6	8.5	13.2	1.2	-5%
5020	ENEOS HOLDINGS	Oil&Coal P.	27/03	3,485	-4.0	-12.4	91.8	15.4	15.1	8.0	10.9	1.0	-13%	8473	SBI HOLDINGS	Sec.&Com.Fut	27/03	1,934	-6.8	-11.9	38.8	13.0	18.8	28.0	5.2	1.1	-13%
5101	YOKOHAMA RUBBER	Rubber Prod.	26/12	1,196	7.4	-10.5	49.6	11.3	4.1	11.0	10.8	1.1	-12%	8524	NORTH PACIFIC BANK	Banks	27/03	376	0.5	-10.0	192.2	12.4	-5.5	6.7	12.4	1.0	-11%
5482	AICHI STEEL	Iron & Steel	27/03	184	1.4	-18.7	265.7	-	-	4.8	-	0.8	-19%	8550	TOCHIGI BANK	Banks	27/03	109	0.8	-4.8	227.2	-	-	5.3	-	0.6	-7%
5631	JAPAN STEEL WORKS	Machinery	27/03	613	-22.8	-21.1	107.2	9.8	-3.5	9.5	29.1	2.9	-23%	8600	TOMONY HOLDINGS	Banks	27/03	170	-3.9	-10.4	56.8	-	-	5.6	-	0.6	-11%
5711	MIITSUBISHI MATERIALS	Nonfer. Mts	27/03	714	-2.7	-11.7	40.3	-15.3	25.2	5.7	12.7	1.0	-15%	8601	DAIWA SECURITIES GROUP	Sec.&Com.Fut	27/03	2,326	-8.2	-10.4	49.7	9.8	7.2	10.3	13.5	1.2	-11%
5713	SUMITOMO METAL MINING	Nonfer. Mts	27/03	2,850	-4.8	-23.4	43.2	4.2	19.8	9.0	14.9	1.3	-29%	8604	NOMURA HOLDINGS	Sec.&Com.Fut	27/03	3,919	-2.5	-12.7	73.5	-6.6	1.1	10.1	10.9	1.0	-14%
5714	DOWA HOLDINGS	Nonfer. Mts	27/03	675	9.3	-5.6	74.7	23.8	9.6	14.6	13.8	1.4	-9%	8630	SOMPO HOLDINGS	Insurance	27/03	5,364	-0.7	-4.5	120.6	-24.3	0.0	13.7	11.3	1.0	-5%
5715	FURUKAWA	Nonfer. Mts	27/03	139	-8.3	-29.9	113.1	-43.3	0.0	9.2	26.1	0.9	-32%	8802	MIITSUBISHI ESTATE	Real Estate	27/03	5,031	-13.5	-22.9	70.0	9.5	-2.0	8.5	21.2	1.9	-24%
5805	SWCC	Nonfer. Mts	27/03	435	-14.4	-6.9	585.8	21.5	6.6	20.7	20.6	4.2	-8%	8830	SUMITOMO REALTY & DEVELOPMENT	Real Estate	27/03	3,703	-25.5	-29.3	48.3	5.9	0.0	9.2	16.3	1.5	-31%
5830	IYOGIN HOLDINGS	Banks	27/03	983	-1.2	-9.6	225.7	0.0	-	8.8	13.3	1.0	-11%	9404	NIPPON TELEVISION HOLDINGS	Inf.&Com.	27/03	753	-10.2	-15.0	43.5	-3.0	4.5	5.8	12.8	0.7	-16%
5831	SHIZUOKA FINANCIAL GROUP	Banks	27/03	1,714	4.4	-6.9	104.5	8.2	-5.8	7.5	17.3	1.3	-9%	9532	OSAKA GAS	Elec.Pwr&Gas	27/03	2,206	-10.1	-15.1	61.0	-6.5	2.8	8.7	15.0	1.2	-17%
5832	CHUGIN FINANCIAL GROUP	Banks	27/03	575	3.6	-4.6	169.8	4.8	-6.8	6.8	13.7	0.9	-6%	9722	FUJITA KANKO	Services	26/12	110	-18.0	-23.3	60.7	-7.3	0.0	29.7	9.0	2.7	-25%
5838	RAKUTEN BANK	Banks	27/03	872	-26.6	-24.1	60.7	14.4	3.6	21.7	10.5	2.3	-25%	9766	KONAMI GROUP	Inf.&Com.	27/03	2,701	-5.0	-4.5	84.1	17.4	4.2	19.1	23.3	4.5	-8%
6146	DISCO	Machinery	27/03	7,258	-15.9	-9.9	153.9	26.0	2.9	25.1	42.7	12.4	-12%	9960	TOTECH	Whsle Trade	27/03	157	-6.0	-18.5	84.2	11.2	2.6	19.5	11.3	2.1	-19%
6209	NPR-RIKEN	Machinery	27/03	107	-5.7	-16.8	85.9	-	-	9.2	-	0.6	-17%														

© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

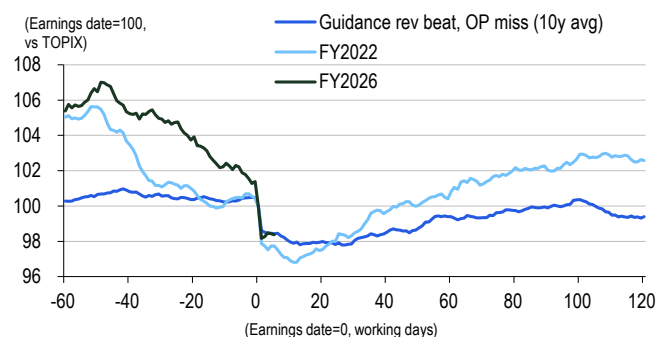
Note: Universe is TOPIX constituents with 1) market caps over ¥100bn, 2) that are in the top 20% based on 3y momentum, 3) have current vs February-end returns below -5%.

Source: Citi Research, Nikkei QUICK, Bloomberg

Focus on companies with sales plan beats and profit plan misses versus consensus

While more companies came out with sales plan beats and profit plan misses versus consensus in these results than usual, their stock prices have sold off similarly to stocks where both sales and profit plans fell below consensus. As noted above, if these companies ultimately avoid margin deterioration through price pass-through and see profits beat, they likely have significant future potential. Indeed, the FY3/23 experience showed companies with sales plan beats and profit plan misses underperformed around results before recovering (Figure 37). Of course, the time required for input cost increases to be passed through to end-prices varies by industry, with B2B generally having shorter time lags than B2C (Figures 38, 39). We consider it appropriate to view B2B stocks with high profit beat potential as promising in the near term, and then we recommend a switch to B2C later. Figure 40 lists up stocks with sales plan beats and profit plan misses, particularly highlighting B2B companies.

Figure 37. Share price patterns of companies with revenue guidance beats, OP guidance misses



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Note: Universe is TOPIX companies with February or March FY year-ends. Beat defined as revenue guidance vs prior consensus of over 0%, miss defined as OP guidance vs prior consensus below -5%.

Source: Citi Research, Nikkei QUICK, Bloomberg

Figure 38. Time-lag correlations of Brent crude, import, corporate and consumer prices

		Lag (Months)	Sensitivity
Brent price	→ Import price	2	0.32
Import price	→ Corporate price	2	0.18
Corporate price	→ Core CPI	6	0.70

© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, Bloomberg

Figure 39. Correlation and lag (by quarter) of industry level output price DI vs all industry output price DI

	Correlation	Lead	Lead/Lag correlation (Quarter)					Lag
		-4	-2	0	2	4	6	8
Manufacturing	0.99							
Textiles	0.94							
Lumber & wood	0.80							
Pulp & paper	0.87							
Chemical products	0.93							
Petroleum & coal	0.53							
Ceramics, stone & clay	0.90							
Iron & steel	0.79							
Nonferrous metals	0.83							
Food	0.94							
Fabricated metal	0.95							
Machinery	0.98							
General-purpose	0.96							
Production	0.98							
Business-oriented	0.94							
Electrical machinery	0.96							
Transportation equipment	0.95							
Shipbuilding & heavy machinery	0.79							
Automobiles	0.92							
Other manufacturing	0.97							
Basic materials	0.95							
Processing	0.98							
Non-manufacturing	0.98							
Construction	0.91							
Real estate & goods rental/leasing	0.88							
Real estate	0.87							
Goods rental & leasing	0.83							
Wholesale & retail trade	0.97							
Wholesale trade	0.96							
Retail trade	0.95							
Transportation & postal	0.86							
Information & communications	0.91							
Telecommunications	0.45							
Information services	0.94							
Other information & communications	0.55							
Electricity, gas & public utilities	0.73							
Business services	0.93							
Personal services	0.84							
Accommodation & food	0.81							
Quarrying & mining	0.67							

© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, Bloomberg

Figure 40. Screening for names with sales guidance beats and OP guidance misses

2026-05-27												2026-05-27															
Code	Company name	Sectbr	FY	Market cap (bn JPY)	return vs TOPIX			FY26 Consensus				Guidance vs consensus		Code	Company name	Sectbr	FY	Market cap (bn JPY)	return vs TOPIX			FY26 Consensus				Guidance vs consensus	
					1m	3m	6m	RP yoy	3m rev	ROE	P/E	Revenue	OP						1m	3m	6m	RP yoy	3m rev	ROE	P/E	Revenue	OP
1885	TOA	Construction	27/03	225	-20.0	-43.4	-33.5	-2.8	0.0	17.4	13.8	1.1%	-11.6%	6807	JAPAN AVIATION ELECTRONICS IND	Elec. App.	27/03	173	-3.9	-8.7	-18.1	71.6	-7.9	5.1	17.7	2.9%	-28.0%
2121	MIXI	Inf.&Com.	27/03	185	-4.4	-1.7	-25.8	-2.8	17.5	9.6	11.5	5.4%	-6.9%	6814	FURUNO ELECTRIC	Elec. App.	27/02	207	-20.4	-23.4	-44.7	5.5	0.0	20.7	14.6	1.0%	-5.8%
2127	NIHON M&A CENTER HOLDINGS	Services	27/03	221	-6.7	-7.4	-25.9	7.9	2.2	25.7	15.8	0.2%	-5.1%	6869	SYSMEX	Elec. App.	27/03	866	-4.8	-4.3	-23.2	16.6	-19.0	7.3	22.4	0.8%	-15.9%
2175	SMS	Services	27/03	174	5.3	13.0	28.1	1.6	-12.1	-38.9	27.1	2.3%	-13.1%	6961	ENPLAS	Elec. App.	27/03	123	-30.9	-13.0	11.1	8.0	-12.5	8.9	23.2	5.8%	-17.4%
2201	MORINAGA	Foods	27/03	216	-12.2	-12.6	-22.1	9.4	-1.3	13.0	11.2	4.8%	-9.0%	6963	ROHM	Elec. App.	27/03	2,074	44.9	78.5	128.7	163.2	14.7	-19.2	55.1	1.4%	-17.9%
2229	CALBEE	Foods	27/03	387	-9.9	-5.9	-19.5	-0.7	-8.8	8.3	22.0	3.9%	-8.0%	6976	TAIYO YUDEN	Elec. App.	27/03	1,490	65.1	132.4	226.3	52.1	14.7	4.5	57.8	1.2%	-15.1%
2267	YAKULT HONSHA	Foods	27/03	819	-4.9	5.1	-5.3	2.0	-4.0	7.5	19.9	5.4%	-9.6%	7004	KANADEVIA	Machinery	27/03	245	9.0	30.0	26.9	104.8	23.5	5.8	12.7	3.9%	-10.2%
2371	KAKAKU.COM	Services	27/03	674	22.3	94.4	23.7	14.3	-6.8	29.7	31.0	3.0%	-6.7%	7202	ISUZU MOTORS	Trans.Equip.	27/03	1,551	-3.9	-22.4	-21.3	19.4	-11.6	9.5	9.6	1.7%	-5.9%
2413	M3	Services	27/03	951	-11.6	-17.2	-62.2	10.2	-1.7	12.5	17.4	0.2%	-5.3%	7240	NOK	Trans.Equip.	27/03	458	-1.6	-13.5	-11.8	3.9	-3.2	7.7	14.4	3.1%	-12.3%
2432	DENA	Inf.&Com.	27/03	327	-0.4	1.0	-6.3	23.2	-4.5	8.0	14.5	1.4%	-45.3%	7259	AINIS	Trans.Equip.	27/03	1,778	2.0	-14.6	-31.3	6.0	-7.9	8.2	11.3	0.7%	-12.1%
2602	NISSHIN OILIO GROUP	Foods	27/03	164	-9.1	-14.5	-17.4	-	-	12.1	13.3	3.0%	-5.9%	7269	SUZUKI MOTOR	Trans.Equip.	27/03	3,774	2.9	-18.7	-38.1	-7.8	-13.4	13.8	9.4	3.9%	-9.5%
2730	EDION	Retail Trade	27/03	259	5.3	3.4	-2.5	13.7	0.0	6.8	14.9	0.7%	-7.5%	7270	SUBARU	Trans.Equip.	27/03	1,769	-5.0	-17.3	-46.4	121.2	-28.2	3.3	9.5	3.5%	-42.4%
2897	NISSIN FOODS HOLDINGS	Foods	27/03	776	-11.1	-19.6	-22.4	13.7	1.0	9.1	15.5	3.9%	-7.6%	7476	AS ONE	Whsle Trade	27/03	156	-8.7	-7.6	-31.9	6.2	-0.2	13.3	16.0	0.0%	-5.3%
3110	NITTO BOSEKI	Gl.&Cer.Prod	27/03	977	-19.7	-7.0	55.8	39.2	10.2	27.5	44.4	0.3%	-8.3%	7550	ZENSHO HOLDINGS	Retail Trade	27/03	1,282	-13.3	-23.4	-35.6	13.0	-5.7	15.8	24.9	4.8%	-7.0%
3116	TOYOTA BOSHOKU	Trans.Equip.	27/03	418	-8.4	-28.7	-22.3	48.8	0.6	5.0	7.7	2.7%	-6.4%	7611	HIDAY HIDAKA	Retail Trade	27/02	100	-13.9	-16.5	-43.0	3.2	-6.8	18.7	21.7	0.9%	-5.6%
3774	INTERNET INITIATIVE JAPAN	Inf.&Com.	27/03	554	7.8	35.5	-9.3	9.3	-3.4	16.2	20.5	2.4%	-7.1%	7731	NIKON	Prec. Inst.	27/03	652	8.9	-3.8	-11.2	-	22.7	-14.1	28.8	3.6%	-49.7%
3861	OJI HOLDINGS	Pulp&Paper	27/03	782	-9.2	-20.2	-20.9	67.3	-16.2	5.0	14.5	1.4%	-20.6%	7780	MENICON	Prec. Inst.	27/03	129	-4.8	-12.2	-3.3	-4.3	-6.3	6.6	18.8	2.1%	-5.1%
3863	NIPPON PAPER INDUSTRIES	Pulp&Paper	27/03	157	-1.1	3.0	8.2	26.9	-13.0	2.4	11.9	0.8%	-28.1%	7868	KOSAIDO HOLDINGS	Other Prod.	27/03	108	24.4	42.1	38.1	11.1	-11.0	9.8	22.0	2.3%	-6.6%
3865	HOKUETSU	Pulp&Paper	27/03	142	-4.4	-14.2	-16.0	-14.8	-33.9	2.8	19.7	2.1%	-75.0%	7911	TOPPAN HOLDINGS	Other Prod.	27/03	1,404	-4.8	-13.1	-22.0	32.1	-3.8	4.9	21.3	4.1%	-9.3%
3880	DAIO PAPER	Pulp&Paper	27/03	157	-8.7	-20.4	-17.7	1.8	-14.2	3.8	14.4	0.4%	-15.0%	7951	YAMAHA	Other Prod.	27/03	504	-5.7	-8.0	-14.1	29.6	4.8	5.1	17.0	3.3%	-7.5%
3941	RENGO	Pulp&Paper	27/03	388	6.9	-8.5	12.6	25.5	-6.2	4.4	11.8	4.3%	-6.1%	7966	LINTEC	Other Prod.	27/03	412	11.5	5.8	24.1	15.7	-0.3	6.9	19.3	4.1%	-7.3%
4061	DENKA	Chemicals	27/03	353	-3.7	9.4	32.1	48.7	-7.1	5.2	20.1	7.1%	-16.8%	7994	OKAMURA	Other Prod.	27/03	230	-12.1	-14.8	-13.8	18.0	2.0	11.5	10.1	0.3%	-7.1%
4183	MITSUI CHEMICALS	Chemicals	27/03	893	10.8	-6.9	-2.3	45.3	-10.8	4.0	15.3	8.4%	-23.8%	8129	TOHO HOLDINGS	Whsle Trade	27/03	304	-11.6	-13.6	-27.7	3.4	-27.3	6.6	23.2	1.5%	-18.9%
4208	UBE	Chemicals	27/03	322	21.2	3.5	2.8	-4.8	-8.9	5.7	12.0	1.4%	-11.0%	8153	MOS FOOD SERVICES	Whsle Trade	27/03	116	-13.9	-15.6	-29.6	-0.1	0.0	8.1	26.4	4.4%	-12.9%
4403	NOF	Chemicals	27/03	672	-16.3	-9.7	-26.3	11.6	-0.4	14.1	15.5	7.0%	-7.2%	8219	AOYAMA TRADING	Retail Trade	27/03	103	-17.9	-21.5	-30.9	17.2	-1.5	3.9	11.7	4.5%	-5.6%
4471	SANYO CHEMICAL INDUSTRIES	Chemicals	27/03	122	-1.7	-12.9	-4.6	-5.4	-9.4	10.6	13.4	15.2%	-18.4%	9003	SOTETSU HOLDINGS	Land Trans.	27/03	241	-15.7	-16.1	-27.6	-0.8	-8.5	12.9	10.0	5.6%	-7.5%
4502	TAKEDA PHARMACEUTICAL	Pharm.	27/03	8,052	-6.6	-11.4	-1.9	13.4	-21.8	2.6	37.8	0.5%	-16.7%	9009	KEISEI ELECTRIC RAILWAY	Land Trans.	27/03	549	-11.4	-20.9	-32.7	2.1	-5.0	9.0	12.0	5.1%	-12.9%
4506	SUMITOMO PHARMA	Pharm.	27/03	694	-26.3	-39.2	-59.6	12.5	0.2	46.3	7.4	1.1%	-20.4%	9020	EAST JAPAN RAILWAY	Land Trans.	27/03	4,028	-1.9	-8.1	-29.8	7.3	-9.0	8.4	14.9	1.5%	-8.3%
4507	SHIONOGI	Pharm.	27/03	2,662	-6.3	-16.8	-3.7	4.7	-6.5	13.5	12.9	5.3%	-7.2%	9023	TOKYO METRO	Land Trans.	27/03	851	-11.7	-11.7	-24.9	-7.1	-8.9	8.1	16.0	0.8%	-10.6%
4523	EISAI	Pharm.	27/03	1,161	-16.4	-22.3	-33.7	63.3	8.7	4.4	19.3	0.9%	-9.1%	9031	NISHI-NIPPON RAILROAD	Land Trans.	27/03	219	-10.3	-14.5	-14.3	-16.7	0.0	12.1	9.1	4.2%	-14.9%
5331	NORITAKE	Gl.&Cer.Prod	27/03	212	3.5	6.1	21.3	12.6	5.1	9.0	15.1	4.3%	-7.3%	9048	NAGOYA RAILROAD	Land Trans.	27/03	355	-0.6	-0.5	-4.9	24.6	-0.4	4.8	10.8	2.6%	-5.2%
5332	TOTO	Gl.&Cer.Prod	27/03	1,165	30.8	19.8	59.5	3.1	-5.2	7.7	24.8	2.2%	-7.6%	9104	MITSUI O.S.K. LINES	Marine Trans	27/03	2,016	-10.4	-5.4	8.0	-1.0	0.9	7.7	10.4	12.7%	-21.9%
5471	DAIDO STEEL	Iron & Steel	27/03	417	1.2	-18.4	9.5	1.8	2.1	7.2	13.9	0.6%	-7.5%	9303	SUMITOMO WAREHOUSE	Whsng&H.Tr.S	27/03	300	1.4	-1.7	-1.3	8.2	-0.4	6.1	17.1	0.1%	-5.1%
5706	MITSUI KINZOKU	Nonfer.Mts	27/03	3,086	26.9	40.9	168.0	-13.0	22.5	24.5	34.9	3.5%	-21.3%	9364	KAMIGUMI	Whsng&H.Tr.S	27/03	504	-13.9	-18.1	-22.3	-1.6	-2.0	8.0	17.4	1.1%	-5.7%
5711	MITSUBISHI MATERIALS	Nonfer.Mts	27/03	714	-2.7	-11.7	54.5	-15.3	25.2	5.7	12.7	7.1%	-12.7%	9404	NIPPON TELEVISION HOLDINGS	Inf.&Com.	27/03	753	-10.2	-15.0	-44.8	-3.0	4.5	5.8	12.8	2.3%	-25.2%
5741	UACJ	Nonfer.Mts	27/03	662	13.3	22.0	47.8	-7.2	3.8	12.2	17.6	0.5%	-8.8%	9409	TV ASAHI HOLDINGS	Inf.&Com.	27/03	338	-8.9	-7.9	-24.3	-6.8	5.2	6.5	12.5	1.9%	-14.7%
5805	SWCC	Nonfer.Mts	27/03	435	-14.4	-6.9	15.7	21.5	6.6	20.7	20.6	13.5%	-10.8%	9468	KADOKAWA	Inf.&Com.	27/03	473	-13.4	11.5	-18.9	64.7	-18.1	0.5	41.3	1.1%	-47.4%
5911	YOKOGAWA BRIDGE HOLDINGS	Metal Prod.	27/03	122	-8.2	-11.2	-19.9	-4.5	-7.1	6.6	13.6	22.9%	-14.7%	9503	KANSAI ELECTRIC POWER	Elec.Pwr&Gas	27/03	2,587	-10.4	-17.3	-28.7	-29.7	-13.7	11.7	10.4	9.6%	-36.3%
5947	RINNAI	Metal Prod.	27/03	482	-7.6	-14.7	-29.4	-4.2	-4.4	8.6	13.8	0.3%	-5.5%	9504	CHUGOKU ELECTRIC POWER	Elec.Pwr&Gas	27/03	341	-9.7	-18.1	-29.7	-12.7	-9.4	9.2	6.9	2.6%	-42.0%
5975	TOPRE	Metal Prod.	27/03	142	8.9	-10.8	1.3	-27.3	0.0	8.0	8.3	3.8%	-7.3%	9507	SHIKOKU ELECTRIC POWER	Elec.Pwr&Gas	27/03	309	-15.3	-16.4	-22.6	-25.0	-3.1	11.1	8.7	15.1%	-35.3%
6103	OKUMA	Machinery	27/03	274	-13.3	-13.2	-2.3	41.9	6.4	5.3	16.8	1.9%	-8.5%	9509	HOKKAIDO ELECTRIC POWER	Elec.Pwr&Gas	27/03	200	-12.0	-23.4	-38.4	-32.8	-5.7	10.4	6.7	9.6%	-17.0%
6104	SHIBAURA MACHINE	Machinery	27/03	105	-9.9	-11.5	-21.7	14.6	-7.0	0.9	26.7	0.4%	-22.2%	9533	TOHO GAS	Elec.Pwr&Gas	27/03	470	-5.0	-10.0	-13.8	-30.8	-4.1	6.8	19.9	6.3%	-11.2%
6305	HITACHI CONSTRUCTION MACHINERY	Machinery	27/03	1,097	-8.8	-25.2	-0.7	6.3	-5.1	8.6	13.4	0.9%	-6.4%	9601	SHOCHIKU	Inf.&Com.	27/02	143	-4.7	-7.7	-40.7	-11.7	-9.7	5.2	37.6	3.4%	-39.0%
6420	GALILEI	Machinery	27/03	158	-8.3	-12.0	-25.6	5.9	1.1	11.3	11.5	0.6%	-5.7%	9605	TOEI	Inf.&Com.	27/03	423	-3.7	8.7	-17.3	-4.6	-1.2	8.4	26.0	0.5%	-21.4%
6460	SEGA SAMMY HOLDINGS	Machinery	27/03	488	-3.9	-9.9	-29.7	6.5	-2.3	-1.6	12.4	0.9%	-14.0%	9842	ARCLANDS	Retail Trade	27/02	120</									

Citi's top picks

Each of our sector analysts picks a single coverage stock as their top pick over a 12-month timeframe. These picks are basically unaffected by the views of the strategy team.

Figure 41. Citi top picks

Sector	Analysts	Code	Company	Comment	Rating	Price (JPY)	TP (JPY)
Autos, Auto Parts	Arifumi Yoshida	5101	Yokohama Rubber	We like the acquisition-led business structure transformation at Yokohama Rubber. Acquisitions since 2015 have given the firm M&A know-how, low-cost production expertise in India, a speedy and assertive marketing style, and a locally entrusted management approach, which have heightened synergies with Yokohama Rubber itself. We believe the firm has the power to achieve industry-leading growth and margins. We think the results of these moves will finally emerge in the next MTP that will run through 2029 (expected to be announced in February 2027). Specifically, we look for a contribution from new plants in Mexico and China where low-cost production has been achieved, cost improvements in the OTR business acquired from Goodyear, and higher utilization rates via market recovery and market share growth for agricultural equipment tires.	Buy	6,986	7,600
Chemicals	Yuta Nishiyama	3110	Nitto Boseki	With aggressive investment in data centers and AI servers continuing, we expect strong demand for Nitto's specialist glass. We note the large number of potential catalysts, including price hikes (not only for T glass but potentially also for NER glass), capacity expansion (given the strong demand outlook, we expect the firm to consider additional capacity expansion), progress in the uptake of NER glass in AI server applications, and progress in the development of NEZ glass.	Buy	24,240	33,000
Electronics / Components	Takayuki Naito	4062	Ibiden	Profit growth is accelerating on demand for AI-related GPUs, ASICs, and CPUs. Given too, a production boost from a new plant we expect Ibiden to post favorable sales and profit growth relative to competitors from next FY out on a growth trajectory for products for AI applications. We see tailwinds from news flow around medium-term advances in AI product performance along with acceleration in investment.	Buy	21,795	7,000
Electronics / Consumer, Industrial	Takero Fujiwara	285A	Kioxia Holdings	We forecast high growth in eSSD demand in 2026 on AI server speed demands. NAND prices are already rising amid market supply shortfalls. Agreements are being negotiated not only for 2026 but also 2027 and beyond, with prospects for protracted tight supply demand. We see Kioxia Holdings as a beneficiary, forecasting FY3/27 OP growth of 8.0x YoY to ¥7.0tn (OPM 79.5%).	Buy / HR	72,500	73,000
Electronics / Precision Instruments	Masahiro Shibano	6857	Advantest	Advantest is a leading AI-related name in Japan SPE. Stock market expectations have tended to be very volatile, reflecting difficulties in reading the demand outlook for the testers made by Advantest and the wide swings in demand. However, swings in consensus forecasts have diminished since an IR event in November 2025, where the CEO disclosed quantitative plans for large-scale expansion in SoC tester production capacity in the medium term. Also, we think consensus forecast upside was augmented by management clarity in April 2026 on effectively bringing forward the two- to three-year road map.	Buy	25,675	35,000
Foods	Hiroki Watanabe	2802	Ajinomoto	We like Ajinomoto's fundamentals, which are fueling its drive for continued double-digit growth, and the possibility of sustained annual buybacks totaling ¥100bn+. We anticipate firm revenue growth in the food business regardless of economic sentiment. A peak in coffee bean prices is also positive for Ajinomoto's margin outlook. Over the medium term we anticipate topline expansion in the non-foods business (functional materials) as Ajinomoto captures AI investment demand, and in the CDMO business being developed we look for sustained contributions to profit growth via a favorable order environment in all business areas.	Buy	5,380	5,500
Gaming & Entertainment	Tokiya Baba	9697	Capcom	The Capcom growth drivers are cumulative software repeat sales generated by core IP Monster Hunter and Resident Evil. The shares are somewhat soft following May 13 results that contained virtually no surprises and we expect a positive response to new title announcements at upcoming industry events. First up are State of Play on June 2, and Summer Game Fest on June 5. This FY's growth stories include repeat sales growth sparked by movie versions of Resident Evil, Devil May Cry, and Street Fighter as well as rising new title sales. The pieces are coming into place for reaching Capcom's 10% annual profit growth target.	Buy	3,069	4,100
IT Services	Moriya Koketsu	6701	NEC	IT services company share prices have fallen sharply since late-January 2026 based mainly on concerns that AI will bring systems development in-house at clients. However, core systems at the likes of NEC and Fujitsu are comparatively isolated from AI substitution, which implies that NEC can reap the AI benefits of development efficiency and accompanying improvement in profitability. Also, NEC is rich in growth stories outside IT services, with high growth potential in defense, aerospace and subsea cables. We have a Buy rating on the shares, seeing particularly inadequate reflection of the growth potential in aerospace and subsea cables.	Buy	4,369	5,300
Machinery, Plant Engineering & Shipbuilding	Takahiro Inoue	6113	Amada	We forecast a rapid growth trajectory driven by products for data centers and semiconductor packaging (FY3/27E combined sales weighting of 20%-25%). April 2025 acquisition Via Mechanics (develops, manufactures, and sells drills and laser drilling machines for PCBs and semiconductor packaging) is positioned to benefit from growth in investment in semiconductor packaging accompanying growth in demand for AI semiconductors. We note prospects for a FY3/27 earnings beat given conservative guidance.	Buy	2,996	3,500
Pharmaceuticals & Medical Equipment	Hideharu Yamaguchi	4519	Chugai Pharmaceutical	We highlight prospects for steady growth on the royalties from oral GLP-1 agonist Fondayo, which is licensed to Eli Lilly (approval obtained April 1). Fondayo's initial prescription numbers were strong but the drug's reputation has fallen because it lags competitors. We remain upbeat however, in anticipation of rising numbers (we still assume end sales of ¥6tn, royalties of ¥780bn). We also note Chugai's strong drug discovery capabilities in respect to Emugrobar, a myostatin antibody licensed to Roche. Emugrobar is in a combination study with a GLP-1 antagonist for increasing muscle mass, with prospects for Phase 2 results release in 2026. For the medium term, Chugai has numerous new drugs with blockbuster prospects including mid-size molecule anticancer drugs, and the NXT007 successor to hemophilia treatment Hemlibra.	Buy	7,664	13,500
Real Estate, J-REIT, Housing	Masashi Miki, CFA	8802	Mitsubishi Estate	We like the firm's orientation toward RoE improvement and accelerated profit growth over the longer run. In addition to stable NOI growth from a blue-chip portfolio centered on the Marunouchi and Otemachi areas of central Tokyo, we expect continued improvement in capital efficiency and higher profit levels to result from progress in recycling capital both domestically and overseas. Investment in data centers in the US is a driver unique to Mitsubishi Estate. We also see room for further expansion in shareholder returns.	Buy	3,926	5,000
Telecommunication / Internet	Keiichi Yoneshima	6098	Recruit Holdings	Key US unit Indeed is growing revenues on quality enhancement in a shrinking US job ad market. We have a positive take on the results delivered by shifting the business model to quality from volume despite a challenging market environment. US Indeed is sustaining double-digit growth in average revenue per job posting (ARPJ), looking for 18% growth in FY3/27. Earnings growth is backed by proactive AI deployment in raising cost efficiency and growing earnings. The shares were weak until FY3/26 results and we expect them to be marked up on recognition of the AI skills. Recruit guides for continued high growth of 9% in revenues and 25% in OP in FY3/27.	Buy	10,900	11,000

© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Note: Our top picks over the next 12 months. Share prices as of the June 1 close.

Source: Citi Research

If you are visually impaired and would like to speak to a Citi representative regarding the details of the graphics in this document, please call USA 1-888-500-5008 (TTY: 711), from outside the US +1-210-677-3788

Appendix A-1

ANALYST CERTIFICATION

The research analysts primarily responsible for the preparation and content of this research report are either (i) designated by “AC” in the author block or (ii) listed in bold alongside content which is attributable to that analyst. If multiple AC analysts are designated in the author block, each analyst is certifying with respect to the entire research report other than (a) content attributable to another AC certifying analyst listed in bold alongside the content and (b) views expressed solely with respect to a specific issuer which are attributable to another AC certifying analyst identified in the price charts or rating history tables for that issuer shown below. Each of these analysts certify, with respect to the sections of the report for which they are responsible: (1) that the views expressed therein accurately reflect their personal views about each issuer and security referenced and were prepared in an independent manner, including with respect to Citigroup Global Markets Inc. and its affiliates; and (2) no part of the research analyst's compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views expressed by that research analyst in this report.

IMPORTANT DISCLOSURES

Citigroup Global Markets Inc. or its affiliates beneficially owns 1% or more of any class of common equity securities of Kioxia Holdings, Yokohama Rubber. This position reflects information available as of the prior business day.

Citigroup Global Markets Inc. or its affiliates has a net short position of 0.5% or more of any class of common equity securities of Kioxia Holdings.

Citigroup Global Markets Inc. or its affiliates beneficially owns 2.0% or more of any class of common equity securities of Yokohama Rubber.

Within the past 12 months, Citigroup Global Markets Inc. or its affiliates has acted as manager or co-manager of an offering of securities of Mitsubishi Estate.

Citigroup Global Markets Inc. or its affiliates has received compensation for investment banking services provided within the past 12 months from Chugai Pharmaceutical, Mitsubishi Estate.

Citigroup Global Markets Inc. or its affiliates expects to receive or intends to seek, within the next three months, compensation for investment banking services from Chugai Pharmaceutical.

Citigroup Global Markets Inc. or its affiliates received compensation for products and services other than investment banking services from Advantest, Ajinomoto, Capcom, Chugai Pharmaceutical, Ibiden, Kioxia Holdings, Mitsubishi Estate, NEC, Recruit Holdings, Yokohama Rubber in the past 12 months.

Citigroup Global Markets Inc. or its affiliates currently has, or had within the past 12 months, the following as investment banking client(s): Chugai Pharmaceutical, Mitsubishi Estate.

Citigroup Global Markets Inc. or its affiliates currently has, or had within the past 12 months, the following as clients, and the services provided were non-investment-banking, securities-related: Advantest, Ajinomoto, Chugai Pharmaceutical, Ibiden, Kioxia Holdings, Mitsubishi Estate, NEC, Recruit Holdings, Yokohama Rubber.

Citigroup Global Markets Inc. or its affiliates currently has, or had within the past 12 months, the following as clients, and the services provided were non-investment-banking, non-securities-related: Advantest, Ajinomoto, Capcom, Chugai Pharmaceutical, Ibiden, Kioxia Holdings, Mitsubishi Estate, NEC, Recruit Holdings, Yokohama Rubber.

Citigroup Global Markets Inc. or an affiliate received compensation in the past 12 months from Chugai Pharmaceutical.

Citigroup Global Markets Inc. and/or its affiliates has a significant financial interest in relation to Advantest, Ajinomoto, Chugai Pharmaceutical, Recruit Holdings. (For an explanation of the determination of significant financial interest, please refer to the policy for managing conflicts of interest which can be found at www.citiVelocity.com.)

Analysts' compensation is determined by Citi Research management and Citigroup's senior management and is based upon activities and services intended to benefit the investor clients of Citigroup Global Markets Inc. and its affiliates (the “Firm”). Compensation is not linked to specific transactions or recommendations. Like all Firm employees, analysts receive compensation that is impacted by overall Firm profitability which includes investment banking, sales and trading, and principal trading revenues. One factor in equity research analyst compensation is arranging corporate access events between institutional clients and the management teams of covered companies. Typically, company management is more likely to participate when the analyst has a positive view of the company.

For financial instruments recommended in the Product in which the Firm is not a market maker, the Firm is a liquidity provider in such financial instruments (and any underlying instruments) and may act as principal in connection with transactions in such instruments. The Firm is a regular issuer of traded financial instruments linked to securities that may have been recommended in the Product. The Firm regularly trades in the securities of the issuer(s) discussed in the Product. The Firm may

engage in securities transactions in a manner inconsistent with the Product and, with respect to securities covered by the Product, will buy or sell from customers on a principal basis.

Unless stated otherwise neither the Research Analyst nor any member of their team has viewed the material operations of the Companies for which an investment view has been provided within the past 12 months.

For important disclosures (including copies of historical disclosures) regarding the companies that are the subject of this Citi Research product ("the Product"), please contact Citi Research, 388 Greenwich Street, 6th Floor, New York, NY, 10013, Attention: Legal/Compliance [E6WYB6412478]. In addition, the same important disclosures, with the exception of the Valuation and Risk assessments and historical disclosures, are contained on the Firm's disclosure website at https://www.citivelocity.com/cvr/eppublic/citi_research_disclosures. Valuation and Risk assessments can be found in the text of the most recent research note/report regarding the subject company. Pursuant to the Market Abuse Regulation a history of all Citi Research recommendations published during the preceding 12-month period can be accessed via Citi Velocity (<https://www.citivelocity.com/cv2>) or your standard distribution portal. Historical disclosures (for up to the past three years) will be provided upon request.

Citi Research Equity Ratings Distribution

Data current as of 01 Apr 2026	12 Month Rating			Catalyst Watch		
	Buy	Hold	Sell	Buy	Hold	Sell
Citi Research Global Fundamental Coverage (Neutral=Hold)	61%	32%	8%	37%	47%	16%
% of companies in each rating category that are investment banking clients	38%	41%	28%	42%	37%	36%

Guide to Citi Research Fundamental Research Investment Ratings:

Citi Research stock recommendations include an investment rating and an optional risk rating to highlight high risk stocks.

Risk rating takes into account both price volatility and fundamental criteria. Stocks will either have no risk rating or a High risk rating assigned.

Investment Ratings: Citi Research investment ratings are Buy, Neutral and Sell. Our ratings are a function of analyst expectations of expected total return ("ETR") and risk. ETR is the sum of the forecast price appreciation (or depreciation) plus the dividend yield for a stock within the next 12 months. The target price is based on a 12 month time horizon. The Investment rating definitions are: Buy (1) ETR of 15% or more or 25% or more for High risk stocks; and Sell (3) for negative ETR. Any covered stock not assigned a Buy or a Sell is a Neutral (2). For stocks rated Neutral (2), if an analyst believes that there are insufficient valuation drivers and/or investment catalysts to derive a positive or negative investment view, they may elect with the approval of Citi Research management not to assign a target price and, thus, not derive an ETR. Citi Research may suspend its rating and target price and assign "Rating Suspended" status for regulatory and/or internal policy reasons. Citi Research may also suspend its rating and target price and assign "Under Review" status for other exceptional circumstances (e.g. lack of information critical to the analyst's thesis, trading suspension) affecting the company and/or trading in the company's securities. In both such situations, the rating and target price will show as "—" and "—" respectively in the rating history price chart. Prior to 11 April 2022 Citi Research assigned "Under Review" status to both situations and prior to 11 Nov 2020 only in exceptional circumstances. As soon as practically possible, the analyst will publish a note re-establishing a rating and investment thesis. Investment ratings are determined by the ranges described above at the time of initiation of coverage, a change in investment and/or risk rating, or a change in target price (subject to limited management discretion). At times, the expected total returns may fall outside of these ranges because of market price movements and/or other short-term volatility or trading patterns. Such interim deviations will be permitted but will become subject to review by Research Management. Your decision to buy or sell a security should be based upon your personal investment objectives and should be made only after evaluating the stock's expected performance and risk.

Catalyst Watch/Short Term Views ("STV") Ratings Disclosure:

Catalyst Watch and STV Upside/Downside calls: Citi Research may also include a Catalyst Watch or STV Upside or Downside call to indicate the analyst expects the share price to rise (fall) in absolute terms over a specified period of 30 or 90 days in reaction to one or more specific near-term catalysts or events impacting the company or the market. A Catalyst Watch will be published when Analyst confidence is high that an impact to share price will occur; it will be a STV when confidence level is moderate. A Catalyst Watch or STV Upside/Downside call will automatically expire at the end of the specified 30/90 day period. The Catalyst Watch will also be automatically removed if share price performance (calculated at market close) exceeds 15% against the direction of the call (unless over-ridden by the analyst). The analyst may also remove a Catalyst Watch or STV call prior to the end of the specified period in a published research note. A Catalyst Watch/STV Upside or Downside call may be different from and does not affect a stock's fundamental equity rating, which reflects a longer-term total absolute return expectation. For purposes of FINRA ratings-distribution-disclosure rules, a Catalyst Watch/STV Upside call corresponds to a buy recommendation and a Catalyst Watch/STV Downside call corresponds to a sell recommendation. Any stock not assigned to a Catalyst Watch Upside, Catalyst Watch Downside, STV Upside, or STV Downside call is considered Catalyst Watch/STV No View. For purposes of FINRA ratings distribution-disclosure rules, we correspond Catalyst Watch/STV No View to Hold in our ratings distribution table for our Catalyst Watch/STV Upside/Downside rating system. However, we reiterate that we do not consider No View to be a recommendation. For all Catalyst Watch/STV Upside/Downside calls, risk exists that the catalyst(s) and associated share-price movement will not materialize as expected.

RESEARCH ANALYST AFFILIATIONS / NON-US RESEARCH ANALYST DISCLOSURES

The legal entities employing the authors of this report are listed below (and their regulators are listed further herein). Non-US research analysts who have prepared this report (i.e., all research analysts listed below other than those identified as employed

by Citigroup Global Markets Inc.) are not registered/qualified as research analysts with FINRA. Such research analysts may not be associated persons of the member organization (but are employed by an affiliate of the member organization) and therefore may not be subject to the FINRA Rule 2241 restrictions on communications with a subject company, public appearances and trading securities held by a research analyst account.

Citigroup Global Markets Japan Inc.

Graeme McDonald; Takahiro Inoue; Masashi Miki, CFA; Keishi Ueda; Tokiya Baba; Takero Fujiwara; Hidemaru Yamaguchi; Yuta Nishiyama; Takayuki Naito; Moriya Koketsu; Arifumi Yoshida; Keiichi Yoneshima; Masahiro Shibano; Ryota Sakagami; Hiroki Watanabe

OTHER DISCLOSURES

Any price(s) of instruments mentioned in recommendations are as of the prior day's market close on the primary market for the instrument, unless otherwise stated.

The completion and first dissemination of any recommendations made within this research report are as of the Eastern date-time displayed at the top of the Product. If the Product references views of other analysts then please refer to the price chart or rating history table for the date/time of completion and first dissemination with respect to that view.

Regulations in various jurisdictions require that where a recommendation differs from any of the author's previous recommendations concerning the same financial instrument or issuer that has been published during the preceding 12-month period that the change(s) and the date of that previous recommendation are indicated. For fundamental coverage please refer to the price chart or rating change history within this disclosure appendix or the issuer disclosure summary at https://www.citivelocity.com/cvr/eppublic/citi_research_disclosures.

Citi Research has implemented policies for identifying, considering and managing potential conflicts of interest arising as a result of publication or distribution of investment research. A description of these policies can be found at https://www.citivelocity.com/cvr/eppublic/citi_research_disclosures.

The proportion of all Citi Research research recommendations that were the equivalent to "Buy", "Hold", "Sell" at the end of each quarter over the prior 12 months (with the % of these that had received investment firm services from Citi in the prior 12 months shown in brackets) is as follows; Q1 2026 Buy 33%(63%), Hold 44% (52%), Sell 23% (46%), RV 0.5% (89%); Q4 2025 Buy 33% (63%), Hold 44% (50%), Sell 23% (46%), RV 0.4% (91%); Q3 2025 Buy 33% (61%), Hold 44% (52%), Sell 23% (50%), RV 0.4% (80%); Q2 2025 Buy 33%(63%), Hold 44% (51%), Sell 23% (49%), RV 0.4% (86%). For the purposes of disclosing recommendations other than for equity (whose definitions can be found in the corresponding disclosure sections), "Buy" means a positive directional trade idea; "Sell" means a negative directional trade idea; and "Relative Value" means any trade idea which does not have a clear direction to the investment strategy.

European regulations require a 5 year price history when past performance of a security is referenced. CitiVelocity's Charting Tool (https://www.citivelocity.com/cv2/#go/CHARTING_3_Equities) provides the facility to create customisable price charts including a five year option. This tool can be found in the Data & Analytics section under any of the asset class menus in CitiVelocity (<https://www.citivelocity.com/>). For further information contact CitiVelocity support (https://www.citivelocity.com/cv2/go/CLIENT_SUPPORT). The source for all referenced prices, unless otherwise stated, is DataCentral, which sources price information from LSEG Data & Analytics. Past performance is not a guarantee or reliable indicator of future results. Forecasts are not a guarantee or reliable indicator of future performance.

Investors should always consider the investment objectives, risks, and charges and expenses of an ETF carefully before investing. The applicable prospectus and key investor information document (as applicable) for an ETF should contain this and other information about such ETF. It is important to read carefully any such prospectus before investing. Clients may obtain prospectuses and key investor information documents for ETFs from the applicable distributor or authorized participant, the exchange upon which an ETF is listed and/or from the applicable website of the applicable ETF issuer. The value of the investments and any accruing income may fall or rise. Any past performance, prediction or forecast is not indicative of future or likely performance. Any information on ETFs contained herein is provided strictly for illustrative purposes and should not be deemed an offer to sell or a solicitation of an offer to purchase units of any ETF either explicitly or implicitly. The opinions expressed are those of the authors and do not necessarily reflect the views of ETF issuers, any of their agents or their affiliates. Citigroup Global Markets India Private Limited and/or its affiliates may have, from time to time, actual or beneficial ownership of 1% or more in the debt securities of the subject issuer.

Please be advised that pursuant to Executive Order 13959 as amended (the "Order"), U.S. persons are prohibited from investing in securities of any company determined by the United States Government to be the subject of the Order. This research is not intended to be used or relied upon in any way that could result in a violation of the Order. Investors are encouraged to rely upon their own legal counsel for advice on compliance with the Order and other economic sanctions programs administered and enforced by the Office of Foreign Assets Control of the U.S. Treasury Department.

This communication is directed at persons who are "Eligible Clients" as such term is defined in the Israeli Regulation of Investment Advice, Investment Marketing and Investment Portfolio Management law, 1995 (the "Advisory Law"). Within Israel, this communication is not intended for retail clients and Citi will not make such products or transactions available to retail clients or to non-Eligible Clients. The presenter is not licensed as investment advisor or investment marketer by the Israeli Securities Authority ("ISA") and this communication does not constitute investment or marketing advice. The information contained herein may relate to matters that are not regulated by the ISA. Any securities which are the subject of this

communication may not be offered or sold to any Israeli person except pursuant to a security offering exemption according to the Israeli Securities Law, 1968 and the public offering rules provided thereunder.

Citi Research broadly and simultaneously disseminates its research content to the Firm's institutional and retail clients via the Firm's proprietary electronic distribution platforms (e.g., Citi Velocity and various Global Wealth platforms). As a convenience, certain, but not all, research content may be distributed through third party aggregators. Clients may receive published research reports by email, on a discretionary basis, and only after such research content has been broadly disseminated. Certain research is made available only to institutional investors to satisfy regulatory requirements. The level and types of services provided by Citi Research analysts to clients may vary depending on various factors such as the client's individual preferences as to the frequency and manner of receiving communications from analysts, the client's risk profile and investment focus and perspective (e.g. market-wide, sector specific, long term, short-term etc.), the size and scope of the overall client relationship with the Firm and legal and regulatory constraints.

Pursuant to Comissão de Valores Mobiliários Resolução 20 and ASIC Regulatory Guide 264, Citi is required to disclose whether a Citi related company or business has a commercial relationship with the subject company. Considering that Citi operates multiple businesses in more than 100 countries around the world, it is likely that Citi has a commercial relationship with the subject company.

Securities recommended, offered, or sold by the Firm: (i) are not insured by the Federal Deposit Insurance Corporation; (ii) are not deposits or other obligations of any insured depository institution (including Citibank); and (iii) are subject to investment risks, including the possible loss of the principal amount invested. The Product is for informational purposes only and is not intended as an offer or solicitation for the purchase or sale of a security. Any decision to purchase securities mentioned in the Product must take into account existing public information on such security or any registered prospectus. Although information has been obtained from and is based upon sources that the Firm believes to be reliable, we do not guarantee its accuracy and it may be incomplete and condensed. Note, however, that the Firm has taken all reasonable steps to determine the accuracy and completeness of the disclosures made in the Important Disclosures section of the Product. The Firm's research department has received assistance from the subject company(ies) referred to in this Product including, but not limited to, discussions with management of the subject company(ies). Firm policy prohibits research analysts from sending draft research to subject companies. However, it should be presumed that the author of the Product has had discussions with the subject company to ensure factual accuracy prior to publication. Statements and views concerning ESG (environmental, social, governance) factors are typically based upon public statements made by the affected company or other public news, which the author may not have independently verified. ESG factors are one consideration that investors may choose to examine when making investment decisions. All opinions, projections and estimates constitute the judgment of the author as of the date of the Product and these, plus any other information contained in the Product, are subject to change without notice. Prices and availability of financial instruments also are subject to change without notice. Notwithstanding other departments within the Firm advising the companies discussed in this Product, information obtained in such role is not used in the preparation of the Product. Although Citi Research does not set a predetermined frequency for publication, if the Product is a fundamental equity or credit research report, it is the intention of Citi Research to provide research coverage of the covered issuers, including in response to news affecting the issuer. For non-fundamental research reports, Citi Research may not provide regular updates to the views, recommendations and facts included in the reports. Notwithstanding that Citi Research maintains coverage on, makes recommendations concerning or discusses issuers, Citi Research may be periodically restricted from referencing certain issuers due to legal or policy reasons. Where a component of a published trade idea is subject to a restriction, the trade idea will be removed from any list of open trade ideas included in the Product. Upon the lifting of the restriction, the trade idea will either be re-instated in the open trade ideas list if the analyst continues to support it or it will be officially closed. Citi Research may provide different research products and services to different classes of customers (for example, based upon long-term or short-term investment horizons) that may lead to differing conclusions or recommendations that could impact the price of a security contrary to the recommendations in the alternative research product, provided that each is consistent with the rating system for each respective product.

Investing in non-U.S. securities, including ADRs, may entail certain risks. The securities of non-U.S. issuers may not be registered with, nor be subject to the reporting requirements of the U.S. Securities and Exchange Commission. There may be limited information available on foreign securities. Foreign companies are generally not subject to uniform audit and reporting standards, practices and requirements comparable to those in the U.S. Securities of some foreign companies may be less liquid and their prices more volatile than securities of comparable U.S. companies. In addition, exchange rate movements may have an adverse effect on the value of an investment in a foreign stock and its corresponding dividend payment for U.S. investors. Net dividends to ADR investors are estimated, using withholding tax rates conventions, deemed accurate, but investors are urged to consult their tax advisor for exact dividend computations. Investors who have received the Product from the Firm may be prohibited in certain states or other jurisdictions from purchasing securities mentioned in the Product from the Firm. Please ask your Financial Consultant for additional details. Citigroup Global Markets Inc. takes responsibility for the Product in the United States. Any orders by US investors resulting from the information contained in the Product may be placed only through Citigroup Global Markets Inc.

The Citigroup legal entity that takes responsibility for the production of the Product is the legal entity which the first named author is employed by.

The Product is made available in **Australia** through Citigroup Global Markets Australia Pty Limited. (ABN 64 003 114 832 and AFSL No. 240992), participant of the ASX Group and regulated by the Australian Securities & Investments Commission.

Citigroup Centre, 2 Park Street, Sydney, NSW 2000. Citigroup Global Markets Australia Pty Limited is not an Authorised Deposit-Taking Institution under the Banking Act 1959, nor is it regulated by the Australian Prudential Regulation Authority. The Product is made available in **Brazil** by Citigroup Global Markets Brasil - CCTVM SA, which is regulated by CVM - Comissão de Valores Mobiliários ("CVM"), BACEN - Brazilian Central Bank, APIMEC - Associação dos Analistas e Profissionais de Investimento do Mercado de Capitais and ANBIMA - Associação Brasileira das Entidades dos Mercados Financeiro e de Capitais. Av. Paulista, 1111 - 14º andar(parte) - CEP: 01311920 - São Paulo - SP.

This Product is available in **Chile** through Banchile Corredores de Bolsa S.A., an indirect subsidiary of Citigroup Inc., which is regulated by the Comisión Para El Mercado Financiero. Enrique Foster Sur, 20, piso 6, Las Condes, Santiago, Chile.

Disclosure for investors in the Republic of Colombia: This communication or message does not constitute a professional recommendation to make investment in the terms of article 2.40.1.1.2 of Decree 2555 de 2010 or the regulations that modify, substitute or complement it. Para la elaboración y distribución de informes de investigación y de comunicaciones generales de que trata este artículo no se requiere ser una entidad vigilada por la Superintendencia Financiera de Colombia.

The Product is made available in **Germany** by Citigroup Global Markets Europe AG ("CGME"), which is regulated by the European Central Bank and the German Federal Financial Supervisory Authority (Bundesanstalt für Finanzdienstleistungsaufsicht BaFin). Börsenplatz 9, 60313 Frankfurt am Main, Germany.

Unless otherwise specified, if the analyst who prepared this report is based in Hong Kong and it relates to "securities" (as defined in the Securities and Futures Ordinance (Cap.571 of the Laws of Hong Kong)), the report is issued in Hong Kong by Citigroup Global Markets Asia Limited. Citigroup Global Markets Asia Limited is regulated by Hong Kong Securities and Futures Commission. If the report is prepared by a non-Hong Kong based analyst, please note that such analyst (and the legal entity that the analyst is employed by or accredited to) is not licensed/registered in Hong Kong and they do not hold themselves out as such. Please refer to the section "Research Analyst Affiliations / Non-US Research Analyst Disclosures" for the details of the employment entity of the analysts.

The Product is made available in **India** by Citigroup Global Markets India Private Limited (CGM), which is regulated by the Securities and Exchange Board of India (SEBI), as a Research Analyst (SEBI Registration No. INH000000438). CGM is also actively involved in the business of merchant banking (SEBI Registration No. INM000010718) and stock brokerage ((SEBI Registration No. INZ000263033) in India, and is registered with SEBI in this regard. Registration granted by SEBI, enlistment with Bombay Stock Exchange (BSE) and certification from National Institute of Securities Markets (NISM) in no way guarantee performance of the intermediary or provide any assurance of returns to investors. CGM's registered office is at 1202, 12th Floor, First International Financial Centre (FIFC), G Block, Bandra Kurla Complex, Bandra East, Mumbai - 400098 & registered Tel: +91 22 61759999. Citi maintains robust policies, procedures, controls, and training to ensure continued compliance with all applicable rules and regulations. All recommendations contained herein are made by duly qualified research analysts. CGM's Corporate Identity Number is U99999MH2000PTC126657, and its Compliance Officer [Vishal Bohra] contact details are: Tel: +91-022-61759994, Fax: +91-022-61759851, Email: cgmcompliance@citi.com. The Investor Charter in respect of Research Analysts, the Compliance Audit Report and Complaints information can be found at

https://www.citivelocity.com/cvr/eppublic/citi_research_disclosures. The grievance officer [Niraj Mody] contact details are Tel: +91-22-42775002, Email: EMEA.CR.Complaints@citi.com. Investment in securities market are subject to market risks. Read all the related documents carefully before investing. SEBI prescribed Client Terms & Conditions can be found at <https://www.citivelocity.com/rendition/authfilelinksvcs/eppublic/V1/file?paramData=ZmlsZU5hbWU9L1MzL0dETVMvcHVlRGltZ2Y2vc3VyZUhhbWxzL2dkbV9kaXNfc2ViaV9UZjJtc29mVXNlMh0bWw>

The Product is made available in **Indonesia** through PT Citigroup Sekuritas Indonesia. Citibank Tower 10/F, Pacific Century Place, SCBD lot 10, Jl. Jend Sudirman Kav 52-53, Jakarta 12190, Indonesia. Neither this Product nor any copy hereof may be distributed in Indonesia or to any Indonesian citizens wherever they are domiciled or to Indonesian residents except in compliance with applicable capital market laws and regulations. This Product is not an offer of securities in Indonesia. The securities referred to in this Product have not been registered with the Capital Market and Financial Services Authority (OJK) pursuant to relevant capital market laws and regulations, and may not be offered or sold within the territory of the Republic of Indonesia or to Indonesian citizens through a public offering or in circumstances which constitute an offer within the meaning of the Indonesian capital market laws and regulations.

The Product is made available in **Japan** by Citigroup Global Markets Japan Inc. ("CGMJ"), which is regulated by Financial Services Agency, Securities and Exchange Surveillance Commission, Japan Securities Dealers Association, Tokyo Stock Exchange and Osaka Securities Exchange. Otemachi Park Building, 1-1-1 Otemachi, Chiyoda-ku, Tokyo 100-8132 Japan. In the event that an error is found in an CGMJ research report, a revised version will be posted on the Firm's Citi Velocity website. If you have questions regarding Citi Velocity, please call (81 3) 6270-3019 for help.

The product is made available in the **Kingdom of Saudi Arabia** in accordance with Saudi laws through Citigroup Saudi Arabia, which is regulated by the Capital Market Authority (CMA) under CMA license (17184-31). 2239 Al Urubah Rd - Al Olaya Dist. Unit No. 18, Riyadh 12214 - 9597, Kingdom Of Saudi Arabia.

The Product is made available in **Korea** by Citigroup Global Markets Korea Securities Ltd. (CGMK), which is regulated by the Financial Services Commission, the Financial Supervisory Service and the Korea Financial Investment Association (KOFIA). The address of CGMK is Citibank Center, 50 Saemunan-ro, Jongno-gu, Seoul 03184, Korea. KOFIA makes available registration information of research analysts on its website. Please visit the following website if you wish to find KOFIA registration information on research analysts of

CGMK. <http://dis.kofia.or.kr/websquare/index.jsp?w2xPath=/wq/fundMgr/DISFundMgrAnalystList.xml&divisionId=MDISO>

[3002002000000&serviceld=SDIS03002002000](#). The Product is made available in Korea by Citibank Korea Inc., which is regulated by the Financial Services Commission and the Financial Supervisory Service. Address is Citibank Center, 50 Saemun-ro, Jongno-gu, Seoul 03184, Korea. This research report is intended to be provided only to Professional Investors as defined in the Financial Investment Services and Capital Market Act and its Enforcement Decree in Korea.

The Product is made available in **Malaysia** by Citigroup Global Markets Malaysia Sdn Bhd (Registration No. 199801004692 (460819-D)) ("CGMM") to its clients and CGMM takes responsibility for its contents as regards CGMM's clients. CGMM is regulated by the Securities Commission Malaysia. Please contact CGMM at Level 43 Menara Citibank, 165 Jalan Ampang, 50450 Kuala Lumpur, Malaysia in respect of any matters arising from, or in connection with, the Product.

The Product is made available in **Mexico** by Citi México Casa de Bolsa, S.A. de C.V., Grupo Financiero Citi México which is a wholly owned subsidiary of Citigroup Inc. and is regulated by Comisión Nacional Bancaria y de Valores. Prolongación Reforma 1196, 24 floor, Colonia Santa Fe, Alcaldía Cuajimalpa de Morelos, C.P. 05348, Ciudad de México.

The Product is made available in **Poland** by Biuro Maklerskie Banku Handlowego (DMBH), separate department of Bank Handlowy w Warszawie S.A. a subsidiary of Citigroup Inc., which is regulated by Komisja Nadzoru Finansowego. Biuro Maklerskie Banku Handlowego (DMBH), ul. Senatorska 16, 00-923 Warszawa.

The Product is made available in **Singapore** through Citigroup Global Markets Singapore Pte. Ltd. ("CGMSPL"), a capital markets services and Exempt Financial Advisor license holder, and regulated by Monetary Authority of Singapore. Please contact CGMSPL at 8 Marina View, 21st Floor Asia Square Tower 1, Singapore 018960, in respect of any matters arising from, or in connection with, the analysis of this document. This Product is intended for recipients who are accredited, expert and institutional investors as defined under the Securities and Futures Act 2001. For Citi Private Bank, the Product is made available in Singapore by Citi Private Bank through Citibank, N.A., Singapore Branch. Citibank N.A., Singapore Branch is a licensed bank in Singapore that is regulated by the Monetary Authority of Singapore. Please contact your Private Banker in Citibank N.A., Singapore Branch if you have any queries on or any matters arising from or in connection with this document. The Product is intended for recipients who are accredited, expert and institutional investors as defined under the Securities and Futures Act 2001. For Citibank Singapore Limited ("CSL"), the Product is distributed in Singapore by CSL to selected Citigold/Citigold Private Clients. CSL provides no independent research or analysis of the substance or in preparation of the Product. Please contact your Citigold//Citigold Private Client Relationship Manager in CSL if you have any queries on or any matters arising from or in connection with this document. The Product is intended for recipients who are accredited investors as defined under the Securities and Futures Act (Cap. 289).

Citigroup Global Markets (Pty) Ltd. is incorporated in the **Republic of South Africa** (company registration number 2000/025866/07) and its registered office is at 145 West Street, Sandton, 2196, Saxonwold. Citigroup Global Markets (Pty) Ltd. is regulated by JSE Securities Exchange South Africa, South African Reserve Bank and the Financial Services Board. The investments and services contained herein are not available to private customers in South Africa.

The Product is made available in the **Republic of China (Taiwan)** through Citigroup Global Markets Taiwan Securities Company Ltd. ("CGMTS"), 14F, 15F and 16F, No. 1, Songzhi Road, Taipei 110, Taiwan, subject to the license scope and the applicable laws and regulations in the Republic of China (Taiwan). CGMTS is regulated by the Securities and Futures Bureau of the Financial Supervisory Commission of Taiwan, the Republic of China (Taiwan). No portion of the Product may be reproduced or quoted in the Republic of China (Taiwan) by the press or any third parties [without the written authorization of CGMTS]. Pursuant to the applicable laws and regulations in the Republic of China (Taiwan), the recipient of the Product shall not take advantage of such Product to involve in any matters in which the recipient may have conflicts of interest. If the Product covers securities which are not allowed to be offered or traded in the Republic of China (Taiwan), neither the Product nor any information contained in the Product shall be considered as advertising the securities or making recommendation of the securities in the Republic of China (Taiwan). The Product is for informational purposes only and is not intended as an offer or solicitation for the purchase or sale of a security or financial products. Any decision to purchase securities or financial products mentioned in the Product must take into account existing public information on such security or the financial products or any registered prospectus.

The Product is made available in **Thailand** through Citicorp Securities (Thailand) Ltd., which is regulated by the Securities and Exchange Commission of Thailand. 399 Interchange 21 Building, 18th Floor, Sukhumvit Road, Klongtoey Nua, Wattana, Bangkok 10110, Thailand.

Disclosure for investors in the Republic of Turkey: The Product is made available in **Turkey** through Citibank AS which is regulated by Capital Markets Board. Tekfen Tower, Eski Büyükdere Caddesi # 209 Kat 2B, 23294 Levent, Istanbul, Turkey. Under Capital Markets Law of Turkey (Law No: 6362), the investment information, comments and recommendations stated here, are not within the scope of investment advisory activity. Comments and recommendations stated here rely on the individual opinions of the ones providing these comments and recommendations. These opinions may not fit to your financial status, risk and return preferences. For this reason, to make an investment decision by relying solely to this information stated here may not bring about outcomes that fit your expectations. Furthermore, Citi Research is a division of Citigroup Global Markets Inc. (the "Firm"), which does and seeks to do business with companies and/or trades on securities covered in this research reports. As a result, investors should be aware that the Firm may have a conflict of interest that could affect the objectivity of this report, however investors should also note that the Firm has in place organisational and administrative arrangements to manage potential conflicts of interest of this nature.

In the **U.A.E.**, these materials (the "Materials") are communicated by Citigroup Global Markets Limited, DIFC branch ("CGML"), an entity registered in the Dubai International Financial Center ("DIFC") and licensed and regulated by the Dubai Financial Services Authority ("DFSA", license #CLO221) to Professional Clients and Market Counterparties, as defined in DFSA

regulations, only and should not be relied upon or distributed to Retail Clients. Financial products and/or services to which the Materials relate will only be made available to Professional Clients and Market Counterparties. Citigroup Global Markets Limited DIFC Branch registered address is Level 3, Gate District Building 02, Dubai International Financial Centre and can be contacted on +971 4 509 97 90.

The Product is made available in **United Kingdom** by Citigroup Global Markets Limited, which is authorised by the Prudential Regulation Authority ("PRA") and regulated by the Financial Conduct Authority ("FCA") and the PRA. This material may relate to investments or services of a person outside of the UK or to other matters which are not authorised by the PRA nor regulated by the FCA and the PRA and further details as to where this may be the case are available upon request in respect of this material. Citigroup Centre, Canada Square, Canary Wharf, London, E14 5LB.

The Product is made available in **United States** and **Canada** by Citigroup Global Markets Inc., which is a member of FINRA and registered with the US Securities and Exchange Commission. 388 Greenwich Street, New York, NY 10013.

Unless specified to the contrary, within EU Member States, the Product is made available by Citigroup Global Markets Europe AG ("CGME"), which is regulated by the European Central Bank and the German Federal Financial Supervisory Authority (Bundesanstalt für Finanzdienstleistungsaufsicht – BaFin).

The Product is not to be construed as providing investment services in any jurisdiction where the provision of such services would not be permitted.

Subject to the nature and contents of the Product, the investments described therein are subject to fluctuations in price and/or value and investors may get back less than originally invested. Certain high-volatility investments can be subject to sudden and large falls in value that could equal or exceed the amount invested. The yield and average life of CMOs (collateralized mortgage obligations) referenced in this Product will fluctuate depending on the actual rate at which mortgage holders prepay the mortgages underlying the CMO and changes in current interest rates. Any government agency backing of the CMO applies only to the face value of the CMO and not to any premium paid. Certain investments contained in the Product may have tax implications for private customers whereby levels and basis of taxation may be subject to change. If in doubt, investors should seek advice from a tax adviser. The Product does not purport to identify the nature of the specific market or other risks associated with a particular transaction. Advice in the Product is general and should not be construed as personal advice given it has been prepared without taking account of the objectives, financial situation or needs of any particular investor. Accordingly, investors should, before acting on the advice, consider the appropriateness of the advice, having regard to their objectives, financial situation and needs. Prior to acquiring any financial product, it is the client's responsibility to obtain the relevant offer document for the product and consider it before making a decision as to whether to purchase the product.

Card Insights. Where this report references Card Insights data, Card Insights consists of selected data from a subset of Citi's proprietary credit card transactions. Such data has undergone rigorous security protocols to keep all customer information confidential and secure; the data is highly aggregated and anonymized so that all unique customer identifiable information is removed from the data prior to receipt by the report's author or distribution to external parties. This data should be considered in the context of other economic indicators and publicly available information. Further, the selected data represents only a subset of Citi's proprietary credit card transactions due to the selection methodology or other limitations and should not be considered as indicative or predictive of the past or future financial performance of Citi or its credit card business.

Citi Research product may source data from dataCentral. dataCentral is a Citi Research proprietary database, which includes the Firm's estimates, data from company reports and feeds from LSEG Data & Analytics. The source for all referenced prices, unless otherwise stated, is DataCentral. Past performance is not a guarantee or reliable indicator of future results. Forecasts are not a guarantee or reliable indicator of future performance. The printed and printable version of the research report may not include all the information (e.g. certain financial summary information and comparable company data) that is linked to the online version available on the Firm's proprietary electronic distribution platforms.

Where included in this report, MSCI sourced information is the exclusive property of Morgan Stanley Capital International Inc. (MSCI). Without prior written permission of MSCI, this information and any other MSCI intellectual property may not be reproduced, disseminated or used to create any financial products, including any indices. This information is provided on an "as is" basis. The user assumes the entire risk of any use made of this information. MSCI, its affiliates and any third party involved in, or related to, computing or compiling the information hereby expressly disclaim all warranties of originality, accuracy, completeness, merchantability or fitness for a particular purpose with respect to any of this information. Without limiting any of the foregoing, in no event shall MSCI, any of its affiliates or any third party involved in, or related to, computing or compiling the information have any liability for any damages of any kind. MSCI, Morgan Stanley Capital International and the MSCI indexes are services marks of MSCI and its affiliates. Where data is attributed to Morningstar that data is © 2026 Morningstar, Inc. All Rights Reserved. That information: (1) is proprietary to Morningstar and/or its content providers; (2) may not be copied or distributed; and (3) is not warranted to be accurate, complete or timely. Neither Morningstar nor its content providers are responsible for any damages or losses arising from any use of this information.

The Firm accepts no liability whatsoever for the actions of third parties. The Product may provide the addresses of, or contain hyperlinks to, websites. Except to the extent to which the Product refers to website material of the Firm, the Firm has not reviewed the linked site. Equally, except to the extent to which the Product refers to website material of the Firm, the Firm takes no responsibility for, and makes no representations or warranties whatsoever as to, the data and information contained therein. Such address or hyperlink (including addresses or hyperlinks to website material of the Firm) is provided solely for your convenience and information and the content of the linked site does not in any way form part of this document. Accessing

such website or following such link through the Product or the website of the Firm shall be at your own risk and the Firm shall have no liability arising out of, or in connection with, any such referenced website.

© 2026 Citigroup Global Markets Inc. Citi Research is a division of Citigroup Global Markets Inc. Citi and Citi and Arc Design are trademarks and service marks of Citigroup Inc. and its affiliates and are used and registered throughout the world. All rights reserved. The research data in this report are not intended to be used for the purpose of (a) determining the price of or amounts due in respect of (or to value) one or more financial products or instruments and/or (b) measuring or comparing the performance of, or defining the asset allocation of a financial product, a portfolio of financial instruments, or a collective investment undertaking, and any such use is strictly prohibited without the prior written consent of Citi Research. Any unauthorized use, duplication, redistribution or disclosure of this report (the "Product"), including, but not limited to, redistribution of the Product by electronic mail, posting of the Product on a website or page, and/or providing to a third party a link to the Product, is prohibited by law and will result in prosecution. The information contained in the Product is intended solely for the recipient and may not be further distributed by the recipient to any third party.

ADDITIONAL INFORMATION IS AVAILABLE UPON REQUEST